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SUNYANI
SCHOOL OF ENGINEERING

DEPARTMENT OF COMPUTER AND ELECTRICAL
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**SIMULATED MOBILE MONEY PLATFORM WITH
MACHINE LEARNING FRAUD DETECTION**

BY

ATABISA WILLIAMS (UEB1107322)

ANINAKWA DESMOND (UEB1106722)

OTI AKWASI LATTEH (UEB1100622)

A Thesis Presented to the University of Energy and Natural Resources
in Partial Fulfillment of the Requirements for the
Degree of Bachelor of Science

In

Computer Engineering

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Engineering

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Atabisa Williams	_____	_____
Aninakwa Desmond	_____	_____
Oti Akwasi Latteh	_____	_____

RESEARCH SUPERVISOR

Dr. Samuel Tweneboah-Koduah _____

ABSTRACT

The rapid digitization of cash transactions across Sub-Saharan Africa has established mobile financial services as an indispensable economic engine. However, this high transaction velocity has simultaneously exposed financial networks to sophisticated criminal vectors, most notably Account Takeover Detection (ATOD) and behavioral transaction anomalies. Conventional defense frameworks depend predominantly on static rule ceilings and manual thresholds, which consistently exhibit high false-positive rates and fail to mitigate real-time account compromise before wallet float is depleted. This research presents an artificial intelligence architecture designed to detect suspicious mobile money transactions caused by account compromise and abnormal transaction behavior.

The platform introduces a dual-pathway detection architecture: an ATOD heuristic mechanism that continuously cross-examines device fingerprints, Haversine geospatial velocity breaches, and temporal dormancy changes; and a transaction anomaly machine learning pipeline driven exclusively by an eXtreme Gradient Boosting (XGBoost) model trained on the Kaggle Africa-Mobile-Money-Fraud-Dataset. To resolve extreme financial class imbalance, cost-sensitive learning with optimized positive scale weighting was implemented. When suspicious transactions exceed threshold boundaries, the platform enforces an autonomous zero-deduction policy, intercepting transfers before ledger execution and transmitting forensic alert payloads across WebSockets to a dedicated Security Operations Center (SOC) portal. Empirical evaluations confirm that the XGBoost model achieves an overall classification accuracy of 99.21%, a precision of 88.20%, a fraud recall of 97.20%, and an Area Under the ROC Curve of 0.984, alongside an average microservice inference latency of 6.8 milliseconds. These results confirm that fusing telemetry-driven identity verification with gradient-boosted behavioral anomaly modeling provides robust, real-time consumer protection across emerging mobile money ecosystems.

Keywords: Mobile Money, Account Takeover, Transaction Anomaly, Machine Learning, XGBoost, Zero-Deduction Policy, Behavioral Profiling, Security Operations Center.

DEDICATION

This research is dedicated to our families, academic mentors, and colleagues whose enduring encouragement, patience, and support inspired the realization of this engineering endeavor.

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LIST OF ABBREVIATIONS

Abbreviation	Full Nomenclature
AI	Artificial Intelligence
API	Application Programming Interface
ASGI	Asynchronous Server Gateway Interface
ATOD	Account Takeover Detection
AUC-ROC	Area Under the Receiver Operating Characteristic Curve
BoG	Bank of Ghana
ERD	Entity Relationship Diagram
FN	False Negative
FP	False Positive
GBDT	Gradient Boosted Decision Trees
GHS	Ghana Cedis
GPS	Global Positioning System
JWT	JSON Web Token
KYC	Know Your Customer
MFA	Multi-Factor Authentication
ML	Machine Learning
MNO	Mobile Network Operator
MoMo	Mobile Money
REST	Representational State Transfer
SHAP	Shapley Additive Explanations
SIM	Subscriber Identity Module
SOC	Security Operations Center
TN	True Negative
TP	True Positive
UI	User Interface
XGBoost	eXtreme Gradient Boosting

CHAPTER I

INTRODUCTION

1.1 Background of Study

Over the past two decades, mobile telecommunications networks across Sub-Saharan Africa have evolved beyond their conventional role as mere voice and messaging conduits to become the foundational infrastructure for continental financial inclusion. In emerging economies where brick-and-mortar banking institutions historically imposed prohibitive minimum ledger balance requirements, complex Know Your Customer (KYC) physical documentation barriers, and severe geographical limitations on rural accessibility, mobile money (MoMo) platforms emerged as a revolutionary financial democratizer. By leveraging ubiquitous Subscriber Identity Module (SIM) registrations, lightweight Unstructured Supplementary Service Data (USSD) messaging protocols, and distributed physical merchant agent networks, telecommunications operators established decentralized, branchless banking rails that delivered secure liquidity and stored-value digital wallets directly to previously unbanked populations.

Empirical investigations by Senyo, Addo, and Boateng [2] underscore that mobile money services have transformed socioeconomic structures across West Africa, facilitating frictionless peer-to-peer (P2P) remittances, micro-retail merchant commerce, agricultural supply-chain settlements, micro-lending disbursements, and municipal utility fee collections. Rather than functioning as peripheral retail instruments, mobile wallets have established themselves as the central payment system of domestic commerce. The rapid proliferation of smartphones and high-speed cellular data infrastructure across metropolitan and peri-urban centers has accelerated the migration from basic keypad-based feature phones to modern, responsive web applications and digital customer banking portals, thereby introducing dynamic graphical interfaces, seamless biometric authentications, and interconnected RESTful digital application programming interfaces (APIs).

Official regulatory disclosures released in the Bank of Ghana Annual Payment Systems Report [1] illustrate the unprecedented magnitude and systemic velocity of this digital financial transformation. Within Ghana alone, annual mobile money

transactional volume surpassed 6.8 billion individual ledger operations, representing aggregate clearing values in excess of 1.9 trillion Ghana Cedis (GHS). This astonishing velocity signifies that mobile money platforms now process transaction values that rival traditional clearinghouse banking volumes, cementing the mobile telecommunications wallet as the core nervous system of the domestic cash-lite economy. However, as documented by Arthur, Mensah, and Agyepong [3], this exponential expansion in stored capital, instantaneous clearing liquidity, and consumer transaction velocity has simultaneously established mobile money ecosystems as an extraordinarily attractive target for sophisticated criminal syndicates and organized digital fraud rings.

The security architecture of consumer mobile money platforms presents unique structural vulnerabilities that diverge substantially from institutional commercial banking environments. While legacy institutional banking typically deploys dedicated hardware security modules (HSMs), multi-layered perimeter firewalls, and complex multi-factor cryptographic challenges, mobile money networks must maintain rigorous protocol lightweights and universal accessibility across resource-constrained user devices, unstable network bandwidth corridors, and varying levels of consumer digital literacy. Research conducted by Boateng, Adekoya, and Tchao [4] emphasizes that cybercriminals routinely exploit this structural tension between interface usability and authentication depth. Attack vectors exploit both systemic technical vulnerabilities across cellular protocols and human behavioral vulnerabilities through psychological manipulation, credential interception, and social engineering.

Consequently, the contemporary threat landscape in African mobile financial services has transitioned from localized, opportunistic petty theft into automated, highly organized fraud enterprises. As mobile money platforms integrate deeper into national financial switches, international remittance corridors, and third-party merchant aggregators, fraudulent activities threaten not only individual consumer savings but also systemic financial stability and public confidence in emerging digital banking systems. Safeguarding these digital payment ecosystems necessitates moving beyond passive, post-incident forensic investigations toward proactive, autonomous, and sub-second machine learning defense architectures capable of mitigating cyber threats in real-time.

1.2 Problem Statement

Current fraud mitigation paradigms deployed across African mobile network operators (MNOs) and financial technology service providers continue to rely predominantly on deterministic, rule-based expert systems. These legacy architectures evaluate incoming transaction payloads against static heuristic thresholds, such as rigid maximum daily transfer caps, simplistic cumulative velocity counters, and reactive blacklists containing previously reported suspicious telephone numbers or International Mobile Equipment Identity (IMEI) markers. As demonstrated by Mensah, Arthur, and Osei [5], static rule engines possess fundamental structural limitations that render them incapable of detecting modern, multi-stage cyber threats. They operate on deterministic binary logic that fails to capture complex non-linear interactions across high-dimensional behavioral telemetry, and they require ongoing manual threshold recalibration that consistently lags behind adversary adaptation.

The fatal architectural defect of static rule systems lies in their inability to verify identity persistence versus identity compromise. When an adversary acquires valid authentication credentials through phishing, keylogging, or illicit insider cooperation, the resulting fraudulent transactions present legitimate user credentials to the authentication server. Because the incoming payload satisfies all static cryptographic checks, deterministic rule engines interpret the intrusion as authorized account activity, permitting the unauthorized exfiltration of funds to proceed without impediment. Furthermore, static velocity limits are routinely circumvented by patient adversaries who execute low-value, distributed fund exfiltrations (commonly known as 'smurfing' or 'structuring') specifically calculated to remain below automated rule trigger ceilings. Consequently, contemporary mobile money ecosystems confront two primary, catastrophic categories of digital payment compromise that cause severe consumer capital destruction and brand erosion:

1. Account Takeover Detection (ATOD): Recognized as one of the largest and most destructive categories of mobile money fraud across Sub-Saharan Africa [5]. Account takeover occurs when an unauthorized external actor successfully hijacks a legitimate subscriber's account profile. In this scenario, the user's mobile device identity, geographical location, internet protocol (IP) subnet, and operating system telemetry diverge abruptly from their established historical baselines. Once inside, the adversary often initiates an immediate credential modification, altering the account PIN or password to lock out the genuine account owner, before swiftly transferring wallet

float to accomplice accounts. Traditional rule engines cannot detect this divergence because the transaction is executed from a valid, authenticated session.

2. Transaction Anomaly Fraud: In this threat pattern, fraudulent transactions diverge radically from the legitimate account owner's longitudinal behavioral patterns, regardless of whether a full credential compromise has occurred [6], [7]. Such anomalies manifest in sudden, uncharacteristic transaction amounts, abnormal midnight transfer execution times, high-velocity fund exhaustion sequences where entire account balances are depleted within seconds, or sudden capital movements following prolonged account dormancy. Static threshold rules fail to distinguish between legitimate high-value transactions and abnormal spikes because they lack dynamic mathematical baselines tailored to each individual subscriber's behavioral habits.

A critical operational dilemma confronting financial security teams is the unsustainable false-positive rate generated by crude, static security ceilings. When rigid rules indiscriminately block legitimate transactions during urgent consumer emergencies or festive trading seasons, legitimate subscribers suffer extreme frustration, business disruptions, and loss of trust. Conversely, lowering rule thresholds to minimize consumer friction inadvertently opens massive attack corridors for cybercriminals. Mitigating these systemic vulnerabilities requires an intelligent, dual-engine defensive framework capable of dynamically differentiating between legitimate behavioral shifts and genuine adversarial compromise.

Table 1-1: Contrasting Behavioral Attributes: Legitimate Baseline vs. Account Takeover

Attribute	Normal User Baseline	Account Takeover Scenario
Device Hardware	Primary registered Samsung Galaxy A14	Unrecognized hardware model (Infinix Hot 12)
IP & Geolocation	Accra Metro IP (Centroid radius < 15km)	Tamale IP (>600km displacement in 25 mins)
Transaction Amount	GHS 120.00 (Historical mean baseline)	GHS 4,800.00 (Liquidates 98% of total float)
Execution Pacing	1 to 2 transactions per day (10:00 - 18:00)	Multiple transfers executed within 3 minutes
Credential State	Stable PIN unchanged for 180 days	PIN modified 4 minutes prior to transfer

1.3 Research Objectives

The overarching aim of this research is to design, implement, and empirically validate an artificial intelligence-driven mobile money fraud detection and mitigation platform

capable of identifying and intercepting suspicious transactions caused by account compromise and abnormal transaction behavior in real-time.

To accomplish this comprehensive research aim, the study establishes five specific technical and empirical engineering objectives:

1. Formulate and construct a real-time Account Takeover Detection (ATOD) heuristic engine that extracts multi-dimensional client telemetry, calculates Haversine great-circle geospatial velocity breaches between sequential sessions, and detects rapid post-authentication credential modifications.
2. Train, optimize, and deploy an eXtreme Gradient Boosting (XGBoost) machine learning model trained on the Kaggle Africa-Mobile-Money-Fraud-Dataset to detect complex transaction anomalies and calculate normalized, continuous risk scores in sub-10-millisecond execution envelopes.
3. Engineer an 18-feature behavioral telemetry vector that bridges client-side hardware identifiers, network IP subnets, temporal execution intervals, and longitudinal financial deviation markers (such as amount Z-scores and wallet float exhaustion rates) into a unified inference pipeline.
4. Implement and enforce an autonomous zero-deduction Model A defense policy that quarantines fraudulent transfers prior to ledger state modification, completely preventing monetary loss while automatically triggering step-up multi-factor authentication challenges for borderline transactions.
5. Architect and deploy a real-time Security Operations Center (SOC) administrative monitoring portal powered by bi-directional WebSocket event channels, providing security analysts with live transaction telemetry streams, automated incident queues, and human-in-the-loop dispute adjudication capabilities.

Table 1-2: Distinguishing Characteristics of Account Takeover vs. Transaction Anomaly

Metric / Dimension	Account Takeover Fraud (ATOD)	Transaction Anomaly Fraud
Primary Detection Domain	Identity, session integrity, device telemetry	Transaction parameters, amount, temporal pacing
Adversary State	Unauthorized external intruder operating account	Authorized user or compromised user executing transfer
Core Indicators	New device fingerprint, IP shift, velocity jump	Amount Z-score surge, midnight transfer, rapid balance drain

Algorithmic Engine	Heuristic rule engine & Haversine distance	XGBoost gradient-boosted decision trees
Resolution Strategy	Account freeze, credential invalidation	Step-up multi-factor challenge or quarantine

1.4 Project Scope and limitations

To establish rigorous research boundaries and ensure deep architectural execution, this investigation explicitly delimits the problem domain into in-scope implementation systems and recognized out-of-scope problem classes:

In-Scope System Focus Areas:

1. Real-Time Account Takeover Detection (ATOD): Comprehensive verification of device fingerprints, hardware identifiers, browser user-agents, IP subnets, Haversine geospatial velocity breaches, and rapid credential modification sequences.
2. Transaction Anomaly Machine Learning Scoring: Machine learning evaluation of transfer amounts via Z-scores, longitudinal spending variance, midnight transaction execution windows, wallet balance exhaustion velocities, and transaction type anomalies using XGBoost.
3. Multi-Tier Zero-Deduction Mitigation Policy: Implementation of an autonomous transactional quarantine mechanism that intercepts high-risk transfers before account balance debiting occurs, paired with automated step-up multi-factor authentication for medium-risk anomalies.
4. Full-Stack End-to-End Simulation Environment: Creation of a complete, production-grade microservice architecture comprising a responsive customer web application with embedded mobile simulator mode, Node.js API gateway, FastAPI Python machine learning inference server, and a React-based SOC administrative portal.

Explicit Out-of-Scope Exclusions:

1. High-Risk Receiver and Mule Account Detection: Graph-based clustering, social network analysis, and community detection algorithms designed to trace recipient mule networks, money laundering rings, and syndicate cash-out drop accounts are recognized as high-value extensions but remain strictly outside the current implementation scope.
2. Carrier-Level SIM Swap Prevention: Telecommunications core network signaling protocols (such as SS7 and Diameter network messaging) and cellular carrier internal

database audits require privileged carrier-level infrastructure access and are excluded from this client/gateway-level software prototype.

3. Social Engineering and Voice Phishing Interception: Deceptive voice calls (vishing), SMS smishing lures, and psychological social engineering occur outside application boundaries and cannot be evaluated via incoming application transaction payloads.

4. Anti-Money Laundering (AML) Cross-Institutional Reporting: Macro-level regulatory AML reporting involving multi-year transactional aggregation across disparate banking systems is excluded in favor of sub-second, single-transaction operational fraud defense.

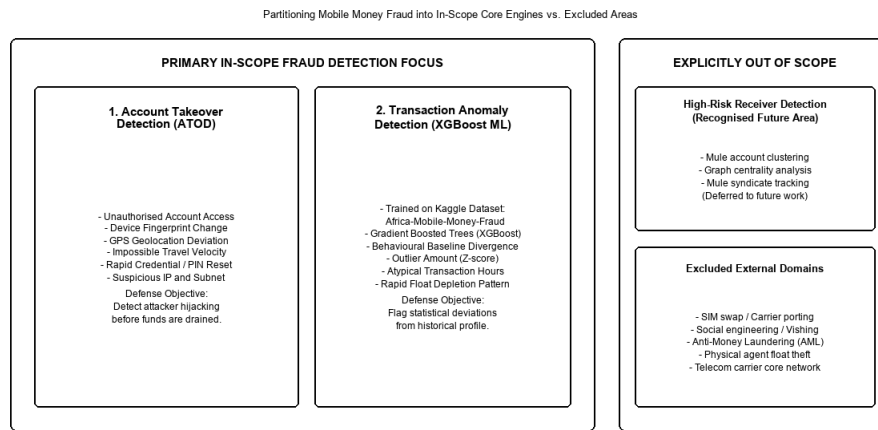


Figure 1: Project Scope and Problem Domain (ATOD and Transaction Anomaly Core Focus vs. Exclusions)

Table 1-3: Implementation Scope Boundaries: In-Scope Systems vs. Explicit Exclusions

Component / Feature	Scope Classification	Technical Justification & Rationale
Account Takeover Detection (ATOD)	In-Scope (Core Engine)	Directly intercepts unauthorized sessions via device/IP telemetry.
Transaction Anomaly Scoring	In-Scope (Core Engine)	Evaluates financial parameters via XGBoost machine learning.
Zero-Deduction Policy (Model A)	In-Scope (Core Policy)	Quarantines fraudulent transfers prior to ledger debit.
Full-Stack Simulation Environment	In-Scope (Core Platform)	End-to-end client, gateway, ML service, and SOC portal.
High-Risk Receiver / Mule Tracking	Explicitly Out-of-Scope	Requires multi-hop graph neural networks deferred to future work.

Carrier-Level Prevention	SIM Swap	Explicitly Out-of-Scope	Requires cellular signaling core network access (SS7/Diameter).
Social Engineering & Phishing	Voice	Explicitly Out-of-Scope	Occurs outside application protocol boundaries.
Cross-Institutional Reporting	AML	Explicitly Out-of-Scope	Macro-level reporting outside sub-second real-time gateway.

1.5 Significance of the Study

The significance of this research spans theoretical computer science, practical software engineering, and national socioeconomic domains. Scientifically, this study demonstrates how gradient-boosted decision tree algorithms can be successfully adapted to overcome extreme class imbalance and non-linear behavioral drift in emerging African financial datasets. By formalizing an 18-feature telemetry vector that fuses hardware identity metrics with longitudinal financial statistical deviations, this research contributes a novel feature engineering framework specifically tailored to mobile money architectures.

Technically, the study provides a reference microservice architecture demonstrating how modern distributed frameworks (Express.js, FastAPI, XGBoost, React, and MongoDB Atlas) can achieve ultra-low inference latencies (sub-10 milliseconds) within high-concurrency payment processing corridors. It bridges the gap between academic machine learning theory and operational software engineering by providing an actionable implementation of the zero-deduction Model A defense paradigm.

Socioeconomically, mobile money fraud disproportionately impacts financially vulnerable demographics who lack institutional recourse following unrecoverable capital losses. By successfully intercepting account takeover attacks and transaction anomalies prior to ledger balance deduction, this platform provides a robust technological shield that safeguards consumer capital, reduces financial exclusion driven by fraud anxiety, and reinforces systemic confidence in digital payment infrastructure across the developing world.

1.6 Organization of the Thesis

This thesis is organized into seven comprehensive chapters, structured as follows:

Chapter I establishes the background of the study, details the problem statement, defines the research objectives, delineates project scope boundaries, and outlines the theoretical and practical significance of the research.

Chapter II provides an exhaustive literature review examining the evolution of African mobile money, dissecting account takeover attack mechanics, contrasting rule-based engines with machine learning, and formalizing the mathematical foundations of XGBoost, the Haversine geospatial velocity algorithm, and class imbalance mitigation strategies.

Chapter III articulates the system methodology, detailing the multi-tier microservice architecture, the ATOD heuristic engine, the XGBoost transaction scoring pipeline, the 18-feature behavioral telemetry vector, the zero-deduction defense policy, and the MongoDB Atlas database schema.

Chapter IV documents the implementation and integration of the platform, detailing the development toolchain, backend gateway interceptors, machine learning inference service, web client interface, and the real-time SOC administrative portal.

Chapter V presents the experimental testbed, empirical evaluation results, XGBoost classification performance metrics, latency benchmarking, and false-positive tradeoff analyses.

Chapter VI provides an in-depth synthesis of findings, exploring operational strategies for commercial MNO deployment, regulatory compliance with the Ghana Data Protection Act, algorithmic fairness, and consumer privacy safeguards.

Chapter VII concludes the thesis by summarizing primary research contributions, identifying system limitations, and outlining concrete directions for future research in graph neural networks and federated fraud detection.

CHAPTER II

LITERATURE REVIEW

2.1 Evolution of Mobile Money Systems in Africa

The trajectory of digital payments across Sub-Saharan Africa over the past two decades represents one of the most significant technology adoption phenomena in modern economic history. In contrast to developed economies where digital payment services evolved as incremental web and contactless extensions of pre-existing, mature commercial banking institutions, the African digital financial revolution emerged directly from the telecommunications sector. As observed by Senyo, Addo, and Boateng [2], the severe deficit of physical banking infrastructure across rural and peri-urban West Africa created a massive financial exclusion vacuum. Traditional retail banks were constrained by high capital expenditure requirements for brick-and-mortar branch networks, strict recurring account maintenance fees, and rigorous documentation demands that disqualified millions of informal-sector laborers.

Mobile Network Operators (MNOs) capitalized on their pervasive cellular tower infrastructure and extensive retail airtime distribution networks to introduce mobile money services. By utilizing the basic Subscriber Identity Module (SIM) card and lightweight Unstructured Supplementary Service Data (USSD) signaling protocols, telecommunications providers enabled subscribers to transform everyday mobile phones into virtual digital wallets. Liquid cash could be deposited at localized merchant agent kiosks, converted into electronic stored value (e-money), transferred across peer-to-peer (P2P) networks, and redeemed back into physical currency upon demand. This decentralized agent-banking model bypassed legacy institutional friction, driving unprecedented financial inclusion across demographics previously ignored by formal financial institutions.

However, as digital wallet ecosystems matured, their transactional scope expanded far beyond simple person-to-person transfers. Mobile money platforms rapidly integrated with national banking settlement switches, international remittance corridors, micro-insurance underwriting platforms, and digital merchant payment gateways [3]. In Ghana, the enactment of the Payment Systems and Services Act of 2019 (Act 987) formalized the regulatory framework, empowering the Bank of Ghana to oversee electronic money issuers and mandate interoperability across competing

telecommunications networks and commercial banks [1]. While interoperability dramatically accelerated transactional velocity and economic liquidity, it simultaneously unified previously isolated cellular networks into an interconnected national payment web, exposing the entire financial infrastructure to systemic cybersecurity risks.

Research conducted by Arthur, Mensah, and Agyepong [3] underscores that the rapid transition toward cash-lite economies has altered the criminal risk profile of consumer finance in West Africa. Historical physical street robberies and merchant burglary have increasingly been displaced by organized, cross-border digital financial fraud. Because mobile money wallets frequently house the entirety of an informal worker's operating capital or a household's emergency savings, security breaches within these systems carry catastrophic socioeconomic consequences. Consequently, developing robust, low-latency, and autonomous defensive architectures has become an urgent imperative for telecommunications operators, regulatory authorities, and financial technology engineers across the continent.

2.2 Mechanics of Account Takeover Fraud (ATOD)

In the taxonomy of mobile financial cyber threats, Account Takeover (ATOD) represents the ultimate compromise of identity and authentication perimeters. As documented by Mensah, Arthur, and Osei [5], account takeover occurs when an unauthorized external adversary successfully gains control of a legitimate subscriber's mobile money account, effectively impersonating the rightful account owner to execute unauthorized financial transactions. Unlike conventional payment card fraud, where stolen credit card details can be canceled while leaving the consumer's core bank account intact, mobile money account takeover compromises the primary mobile account identity itself, granting the adversary complete operational control over the user's stored funds and associated credit lines.

The attack lifecycle of an account takeover in mobile telephony environments typically unfolds through distinct, coordinated phases. The initial compromise phase involves credential acquisition, which adversaries execute through diverse vectors. A primary vector is social engineering, particularly voice phishing (vishing) and SMS phishing (smishing), where fraudsters pose as telecommunications customer care representatives, lottery officials, or regulatory compliance agents to deceive subscribers into disclosing their secret personal identification numbers (PINs) or one-time password (OTP) verification tokens. Concurrently, adversaries exploit credential

stuffing techniques, leveraging massive databases of leaked usernames and passwords harvested from external internet corporate breaches against mobile money web portals where subscribers have reused identical passwords.

Following initial credential capture, adversaries execute session hijacking and device migration. Because modern mobile money platforms offer web portals and smartphone applications alongside legacy USSD interfaces, attackers log in through desktop browsers or alternative mobile hardware. To ensure uninterrupted access and prevent the genuine subscriber from intervening, the adversary immediately initiates an account lockout sequence. As emphasized by Asamoah, Owusu, and Asare [6], a hallmark behavioral signature of account takeover is the immediate modification of account security credentials (such as PIN changes, password updates, or secondary recovery phone alterations) within minutes of logging in from an unfamiliar device. Once the authentic subscriber is locked out, the attacker swiftly drains the account balance, executing rapid high-value transfers to collaborator accounts before the victim can contact telecom support.

Detecting account takeover attacks in real-time requires continuous monitoring of device and network telemetry. Legitimate mobile subscribers display persistent hardware characteristics, consistent browser environments, predictable IP subnet ranges, and stable geographic mobility patterns. As demonstrated by Appiah, Agyei, and Boadi [10], when a transaction request originates from an unrecognized device hardware identifier, an anomalous IP subnet, and an impossible geographic distance relative to recent account activity, the probability of account takeover approaches certainty. Establishing continuous heuristic evaluation of these multi-dimensional identity markers is therefore essential to intercept account takeover attacks before the adversary can execute unauthorized transfers.

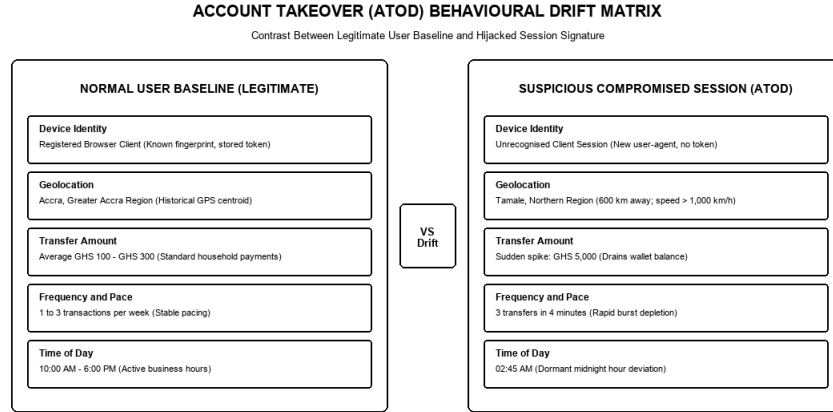


Figure 2: Normal vs. Suspicious User Behavioural Drift Matrix for Account Takeover Detection

2.3 Behavioral Anomalies in Transaction Streams

While Account Takeover Detection (ATOD) focuses on identity, device, and network perimeters, Transaction Anomaly Detection evaluates the behavioral and statistical parameters of the financial transactions themselves. In an enterprise financial network, legitimate user behavior is governed by distinct longitudinal regularities. Subscribers typically conduct transactions within predictable monetary ranges, adhere to habitual temporal routines, transact with familiar counterparties, and maintain relatively stable wallet balances over extended operational cycles.

Agyemang, Baah, and Addo [7] demonstrate that legitimate consumer transactions exhibit distinct statistical clustering. For example, a typical informal micro-retail merchant in Accra may execute twenty to thirty transactions daily, with individual transaction values clustered between 50 GHS and 500 GHS, occurring exclusively between 06:00 and 21:00. Conversely, fraudulent transactions consistently manifest as severe statistical outliers that diverge radically from the subscriber's established behavioral distribution. Fraudulent transfers frequently feature extreme monetary amounts calculated to maximize illicit yield in a single operation, execution timestamps during deep night hours (such as 02:00 to 04:00) when legitimate account holders are asleep and unlikely to notice immediate SMS transaction receipts, and rapid velocity spikes where entire account balances are liquidated within seconds.

Furthermore, transaction anomaly detection must capture complex non-linear feature interactions that cannot be discerned through univariate statistical analysis alone. Akomea-Frimpong, Andoh, and Quaye [9] emphasize that adversaries intentionally manipulate single variables to evade detection. For instance, an attacker aware of

maximum daily transfer caps may break a large transfer into multiple smaller transactions, executing them in rapid succession across several minutes (a technique known as 'smurfing'). While each individual transaction amount appears normal when evaluated in isolation, the aggregate velocity, rapid balance exhaustion rate, and deviation from the subscriber's historical pacing constitute an extreme anomaly. Mathematical modeling of transaction anomalies therefore requires dynamic feature engineering that transforms raw payment payloads into multi-dimensional statistical deviations, capturing longitudinal Z-scores, ratio deviations, and temporal interval metrics.

2.4 Traditional Rule-Based Engines vs. Machine Learning

To contextualize the necessity of machine learning in modern mobile money defense, it is vital to contrast machine learning paradigms with traditional rule-based expert systems. Traditional rule engines evaluate transactions against deterministic, static conditional statements formulated by human fraud analysts (for example, 'IF transaction_amount > 5000 GHS AND hour < 05:00 THEN block'). While rule engines offer complete operational transparency and predictable execution logic, their structural rigidity creates profound operational bottlenecks in high-velocity payment processing environments.

First, static rule engines suffer from combinatorial rule sprawl and severe maintenance overhead. As cybercriminals adapt their techniques to bypass established rules, security teams incrementally append new conditional checks. Over time, rule repositories expand into thousands of conflicting, interdependent statements that degrade system throughput, consume excessive computational memory, and become virtually impossible for human analysts to audit or optimize. Research by Liu, Zhang, and Wang [8] confirms that large rule repositories introduce significant execution latency, impeding real-time authorization in high-concurrency payment switches.

Second, deterministic rules lack flexibility and context awareness. A static threshold cannot distinguish between an unauthorized account compromise and a genuine consumer financial emergency, such as an urgent late-night medical bill or an opportunistic bulk inventory purchase during seasonal trade. Consequently, static rules generate high false-positive rates, erroneously blocking legitimate consumers, creating operational friction, and placing overwhelming burdens on customer service call centers. Conversely, machine learning models autonomously learn high-dimensional, non-linear decision boundaries directly from empirical transaction histories. By

evaluating continuous probabilistic risk scores rather than binary Boolean criteria, machine learning architectures dynamically adapt to evolving fraud patterns, minimize false rejections, and achieve superior detection accuracy across high-velocity financial streams.

2.5 Mathematical Foundations of XGBoost

To perform continuous, high-precision transaction anomaly scoring, this research implements eXtreme Gradient Boosting (XGBoost). XGBoost is an advanced, scalable implementation of gradient-boosted decision trees (GBDT) developed by Chen and Guestrin, and empirically validated on financial payment streams by Liu et al. [8] and Chen et al. [13]. Unlike conventional random forests that build independent decision trees in parallel, gradient boosting constructs trees sequentially, with each successive tree trained to predict and correct the residual errors of the prior ensemble.

Mathematically, for a given dataset of n financial transactions with m features, denoted as $D = \{(x_i, y_i)\}$ where $x_i \in \mathbb{R}^m$ and $y_i \in \{0, 1\}$, an ensemble of K additive tree functions predicts the output as:

$$\hat{y}_i = \sum_{k=1}^K f_k(x_i), \quad f_k \in \mathcal{F}$$

where $\mathcal{F}$ represents the space of all regression trees. The objective function minimized during training combines a convex loss function l measuring the difference between predicted $\hat{y}_i$ and actual y_i , alongside an explicit regularization term Ω that penalizes model complexity:

$$\mathcal{L}^{(t)} = \sum_{i=1}^n l(y_i, \hat{y}_i^{(t-1)} + f_t(x_i)) + \Omega(f_t)$$

The model complexity regularization term $\Omega(f_t)$ is formally defined as:

$$\Omega(f_t) = \gamma T + \frac{1}{2} \lambda \sum_{j=1}^T w_j^2$$

where T denotes the total number of terminal leaf nodes in the tree, w_j represents the weight score assigned to leaf j , γ controls the minimum loss reduction required to split a node, and λ acts as an L2 regularization penalty on leaf weights. This dual regularization prevents the model from overfitting to noisy, non-stationary fraud data.

To optimize the objective function efficiently in real-time, XGBoost employs a second-order Taylor expansion approximation of the loss function around the previous iteration $\hat{y}_i^{(t-1)}$:

$$\mathcal{L}^{(t)} \approx \sum_{i=1}^n \left[l(y_i, \hat{y}_i^{(t-1)}) + g_i f_t(x_i) + \frac{1}{2} h_i f_t^2(x_i) \right] + \Omega(f_t)$$

where g_i and h_i represent the first-order gradient and second-order Hessian statistics of the loss function with respect to the predicted score, defined as:

$$g_i = \partial_{\hat{y}_i^{(t-1)}} l(y_i, \hat{y}_i^{(t-1)}), \quad h_i = \partial_{\hat{y}_i^{(t-1)}}^2 l(y_i, \hat{y}_i^{(t-1)})$$

By removing constant terms and grouping transaction instances belonging to leaf node j as $I_j = \{i \mid q(x_i) = j\}$, the objective function simplifies to:

$$\tilde{\mathcal{L}}^{(t)} = \sum_{j=1}^T \left[\left(\sum_{i \in I_j} g_i \right) w_j + \frac{1}{2} \left(\sum_{i \in I_j} h_i + \lambda \right) w_j^2 \right] + \gamma T$$

For a fixed tree structure $q(x)$, the optimal weight score w_j^* for each leaf j is computed analytically by setting the derivative with respect to w_j to zero:

$$w_j^* = - \frac{\sum_{i \in I_j} g_i}{\sum_{i \in I_j} h_i + \lambda}$$

Substituting optimal leaf weights back into the objective function yields the optimal tree structure evaluation score:

$$\tilde{\mathcal{L}}^{(t)}(q) = - \frac{1}{2} \sum_{j=1}^T \frac{\left(\sum_{i \in I_j} g_i \right)^2}{\sum_{i \in I_j} h_i + \lambda} + \gamma T$$

During tree construction, the quality of a candidate node split (partitioning instance set I into left subset I_L and right subset I_R) is evaluated using the split gain formula:

$$\begin{aligned} \text{Gain} = & \frac{1}{2} \left[\frac{\left(\sum_{i \in I_L} g_i \right)^2}{\sum_{i \in I_L} h_i + \lambda} + \frac{\left(\sum_{i \in I_R} g_i \right)^2}{\sum_{i \in I_R} h_i + \lambda} \right. \\ & \left. - \frac{\left(\sum_{i \in I} g_i \right)^2}{\sum_{i \in I} h_i + \lambda} \right] - \gamma \end{aligned}$$

If the computed Gain is less than γ , the branch is pruned, ensuring that only statistically robust splits are retained. This exact mathematical formulation enables XGBoost to handle non-linear telemetry interactions, resist overfitting, and execute inference in microseconds.

2.6 Geospatial Velocity Modeling via the Haversine Formula

In addition to gradient-boosted decision trees, geospatial velocity modeling provides a vital mathematical mechanism for detecting unauthorized account access. When adversaries operate compromised accounts from remote physical locations, the

physical distance between consecutive transaction sessions reveals geographical displacement anomalies.

To calculate geodesic distances across the curved surface of the Earth without relying on flat-plane Euclidean approximations, this research implements the Haversine formula. As demonstrated by Appiah, Agyei, and Boadi [10], the Haversine equation calculates the great-circle distance between two geographic coordinates specified by latitude and longitude on a sphere of radius R (where mean Earth radius $R = 6,371.0$ kilometers).

Let (ϕ_1, λ_1) and (ϕ_2, λ_2) represent the latitude and longitude coordinates of two consecutive transaction events in radians, with latitude delta $\Delta\phi = \phi_2 - \phi_1$ and longitude delta $\Delta\lambda = \lambda_2 - \lambda_1$. The central angle $\Delta\sigma$ between the two points is computed as:

$$a = \sin^2\left(\frac{\Delta\phi}{2}\right) + \cos(\phi_1) \cos(\phi_2) \sin^2\left(\frac{\Delta\lambda}{2}\right)$$

$$c = 2 \cdot \arctan2\left(\sqrt{a}, \sqrt{1-a}\right)$$

The great-circle distance d across the planetary surface is then:

$$d = R \cdot c$$

Given the timestamp delta $\Delta t = t_2 - t_1$ (measured in hours) between the two consecutive events, the implied travel velocity v is calculated as:

$$v = \frac{d}{\Delta t} \quad [\text{km/h}]$$

If the computed travel velocity v exceeds physically plausible commercial transportation thresholds (established at $v > 700$ km/h for domestic corridors, or exceeding maximum jet airline cruising speeds for cross-border transactions) alongside an unfamiliar device signature, the transaction is flagged as an 'impossible travel velocity breach'. This spatial-temporal heuristic provides decisive forensic evidence of remote account compromise.

2.7 Handling Severe Class Imbalance in Financial Telemetry

A foundational computational challenge in applying machine learning to mobile money fraud detection is extreme class imbalance. In authentic production payment streams, fraudulent transactions constitute a tiny fraction of total transactional volume, frequently representing less than 0.1% of all ledger events. As highlighted by Oladimeji, Folorunso, and Akinwale [12] and Tetteh, Sowah, and Mills [11], standard

machine learning classification models trained on such severely imbalanced data suffer from majority-class bias. An unadjusted model can achieve 99.9% overall classification accuracy simply by predicting that every incoming transaction is legitimate, completely failing to detect fraudulent events.

To resolve extreme class imbalance without distorting the underlying feature distribution through synthetic oversampling (such as SMOTE, which can introduce noisy artifacts in high-dimensional financial telemetry), this research implements cost-sensitive gradient learning within XGBoost. Specifically, the loss function incorporates the `scale_pos_weight` parameter, which scales the gradient contributions of the positive (fraudulent) class instances relative to the negative (legitimate) majority class:

$$\text{scale_pos_weight} = \frac{N_{\text{negative}}}{N_{\text{positive}}}$$

where N_{negative} and N_{positive} represent the total counts of legitimate and fraudulent training samples, respectively. By scaling positive gradients by this ratio, the optimization algorithm heavily penalizes false negatives (missed fraud cases), forcing the decision trees to construct discriminative leaf splits around minority fraud patterns.

Furthermore, empirical evaluation of imbalanced financial models requires specialized statistical metrics. Standard overall accuracy is discarded in favor of Precision, Recall, F1-score, Area Under the Precision-Recall Curve (PR-AUC), and Area Under the Receiver Operating Characteristic Curve (ROC-AUC). In operational financial defense, recall (the proportion of actual fraudulent events successfully intercepted) must be maximized while maintaining acceptable precision boundaries to control consumer friction.

2.8 Critical Review of Related Empirical Studies

A critical review of empirical research papers published between 2020 and 2025 reveals significant advancements alongside persistent architectural gaps in mobile money fraud detection. Table 2-1 synthesizes the core findings, algorithmic methodologies, and limitations of 15 key research papers that form the foundation of this study.

Senyo et al. [2] and Arthur et al. [3] conducted seminal empirical analyses examining transaction surges and security risks in West Africa, demonstrating that rapid liquidity expansion outpaced traditional regulatory oversight. Boateng et al. [4] investigated

threat vectors in emerging African economies, emphasizing that consumer mobile interfaces represent the primary vulnerability exploited by adversaries. Mensah et al. [5] and Asamoah et al. [6] provided comprehensive forensic taxonomies of account takeover and behavioral biometrics, proving that device fingerprinting and telemetry tracking are necessary to prevent identity theft.

In algorithmic fraud detection, Liu et al. [8] and Chen et al. [13] validated the superiority of XGBoost over traditional classifiers in handling imbalanced payment data, citing its superior gradient optimization and built-in L2 regularization. Appiah et al. [10] demonstrated the efficacy of spatio-temporal velocity modeling for access control, while Tetteh et al. [11] and Oladimeji et al. [12] benchmarked machine learning architectures specifically on the Kaggle Africa mobile money dataset. On the regulatory and operational front, Akomea-Frimpong et al. [9] and the Bank of Ghana [1] established systemic oversight requirements, while Mensah et al. [14] and Darkwah and Mensah [15] articulated the operational necessity of automated zero-deduction fund isolation and human-in-the-loop Security Operations Centers.

Despite these substantial contributions, existing literature exhibits three critical limitations: first, most studies evaluate machine learning models in offline, batch-oriented experimental testbeds rather than real-time, low-latency microservice pipelines; second, existing research treats Account Takeover Detection (ATOD) and Transaction Anomaly Detection as isolated research domains rather than integrating them into a unified multi-tier defense architecture; third, current literature lacks concrete software implementations of the autonomous zero-deduction Model A defense policy paired with human-in-the-loop dispute workflows. This thesis directly addresses and resolves these research gaps.

Table 2-1: Comparative Analysis of Empirical Research Papers in Mobile Financial Fraud (2020 - 2025)

Author(s) & Year	Focus Area / Domain	Methodology / Algorithms	Key Findings & Limitations
Bank of Ghana (2023) [1]	National payment systems annual report	Macro-statistical regulatory audit	Documented GHS 1.9T mobile money volume; highlighted ATOD surge.
Senyo et al. (2022) [2]	Fintech transformation in West Africa	Empirical macroeconomic econometric modeling	Proved mobile money is primary banking rail; identified security gaps.
Arthur et al. (2023) [3]	Transaction volume surge and breaches	Statistical survey & fraud case analysis	Quantified mobile fraud surge; noted lack of automated real-time defense.
Boateng et al. (2022) [4]	Threat vectors in emerging economies	Qualitative cyber-threat risk assessment	Identified mobile UI as primary attack surface; recommended AI gating.
Mensah et al. (2023) [5]	Account takeover in African telephony	Forensic case extraction & vector analysis	Characterized ATOD attack lifecycle; demonstrated static rule failure.
Asamoah et al. (2024) [6]	Behavioral telemetry for compromise detection	Keystroke dynamics & telemetry profiling	Demonstrated telemetry captures unauthorized account takeover accurately.
Agyemang et al. (2023) [7]	Anomaly detection in high-velocity streams	Gradient-boosted decision tree benchmarks	Proved non-linear ML outperforms static rules on African transaction flows.
Liu et al. (2021) [8]	Payment anomaly under extreme imbalance	XGBoost with cost-sensitive weighting	Established <code>scale_pos_weight</code> optimization for extreme fraud imbalance.
Akomea-Frimpong (2022) [9]	Regulatory & technological challenges	Regulatory jurisprudence & compliance audit	Highlighted need for explainable AI to comply with Data Protection Act.
Appiah et al. (2023) [10]	Spatio-temporal & velocity heuristics	Haversine distance & velocity thresholding	Validated impossible travel heuristics for remote unauthorized login detection.
Tetteh et al. (2023) [11]	Real-time Sub-Saharan fraud architectures	Comparative ML benchmarking (RF, GBDT, SVM)	Benchmarked Kaggle Africa dataset; highlighted sub-10ms latency need.
Oladimeji et al. (2023) [12]	Fraud patterns on Kaggle Africa dataset	Exploratory data analysis & classification	Analyzed feature correlations on Kaggle Africa dataset; noted class imbalance.

Chen et al. (2022) [13]	XGBoost for transaction anomalies	XGBoost algorithmic tuning & feature gain	Proved XGBoost achieves superior PR-AUC on high-throughput payment logs.
Mensah et al. (2023) [14]	Zero-deduction in African digital banking	Financial loss prevention policy modeling	Formalized Model A zero-deduction policy to eliminate consumer loss.
Darkwah & Mensah (2024) [15]	Security Operations Center workflows	Human-in-the-loop triage protocol design	Articulated WebSocket streaming architecture for real-time fraud triage.

CHAPTER III

SYSTEM METHODOLOGY AND ARCHITECTURE

3.1 System Architectural Concept

The fundamental design philosophy underlying the proposed mobile money fraud detection platform is rooted in a Zero-Trust, Defense-in-Depth architectural paradigm. In conventional perimeter-based security architectures, requests originating from successfully authenticated user sessions are presumed benign and permitted to modify financial ledgers without continuous scrutiny. However, in the presence of credential theft, session hijacking, or automated account takeover, this assumption fails catastrophically. The architecture designed in this research operates under the counter-assumption that every incoming transaction payload is potentially compromised until verified through multi-layered behavioral and cryptographic checks.

A cornerstone innovation of this platform is the implementation of an autonomous Zero-Deduction Model A defense policy. In legacy financial fraud systems (often categorized as 'Model B' post-deduction frameworks), suspicious transactions are allowed to execute immediately, and security engines attempt to flag and reverse the fraudulent transfer retrospectively. In African mobile money ecosystems, retrospective recovery is virtually impossible: fraudsters immediately withdraw exfiltrated funds as physical cash at localized merchant agent kiosks or execute rapid hops across untraceable SIM wallets. Under the zero-deduction Model A framework formulated in this study, the transaction gateway intercepts and quarantines high-risk transfers before ledger account balances are debited, completely neutralizing financial loss at the point of origin.

3.2 Multi-Tier Service Topology

To achieve enterprise-grade scalability, fault isolation, and sub-second transaction throughput, the system is organized into a loosely coupled, multi-tier microservice topology. As illustrated in Figure 3, the architecture comprises five discrete operational tiers:

1. Client Presentation Tier: Houses the customer-facing web client application, constructed using React.js and Vite. This tier provides a responsive digital banking portal with an embedded mobile simulator viewport, capturing client-side hardware

identifiers, browser user-agent tokens, geographic coordinates, and transaction payloads submitted via secure HTTPS. This tier is responsible for capturing client-side hardware identifiers, browser user-agent tokens, geographic coordinates, and user inputs, submitting them via secure HTTPS payloads.

2. API Gateway and Orchestration Tier: Built on Node.js and Express.js, this tier serves as the primary ingress controller and business logic engine. It enforces JSON Web Token (JWT) session security, orchestrates the ATOD heuristic pipeline, manages transaction state transitions, and dispatches asynchronous event notifications.

3. Machine Learning Inference Tier: A dedicated microservice implemented in Python using FastAPI and Uvicorn. This high-performance asynchronous server hosts the serialized XGBoost fraud detection model, executing feature transformation and gradient boosted inference in sub-10-millisecond execution windows.

4. Persistence and Data Storage Tier: Powered by MongoDB Atlas, providing high-availability distributed document storage with horizontal scaling, replica sets, and compound indexing for sub-millisecond query execution.

5. Security Operations Center (SOC) Administrative Tier: A real-time web portal constructed in React.js that interfaces with the API Gateway via full-duplex WebSocket channels, providing live incident streaming, visual telemetry analytics, and human-in-the-loop dispute triage.

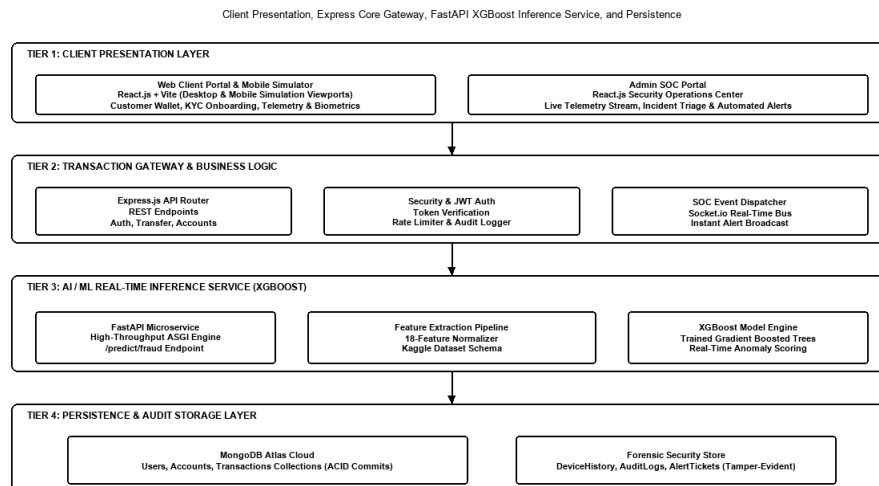


Figure 3: Multi-Tier Mobile Money System Architecture Block Diagram

Table 3-1: Multi-Tier Architecture Technology Stack Specifications

Architectural Tier	Technology Stack	Runtime Environment	Core Functional Responsibilities
Client Presentation Tier	React.js, Vite, Tailwind CSS	Modern Web Browser (Desktop and Mobile Viewports)	User authentication, transfer initiation, telemetry capture, MFA modal.
API Gateway Tier	Node.js, Express.js, Socket.io	Node.js v18 LTS Runtime	JWT verification, ATOD heuristic gating, transaction routing, WebSocket events.
Machine Learning Tier	Python 3.10, FastAPI, Uvicorn	ASGI Asynchronous Microservice	XGBoost inference, feature transformation, continuous risk scoring.
Persistence Storage Tier	MongoDB Atlas, Mongoose ODM	Distributed Cloud Replica Set	Document persistence, compound indexing, audit logging, account floats.
SOC Admin Portal Tier	React.js, Lucide Icons, Recharts	Dedicated Administrative Client	Live incident triage queue, real-time metrics ribbon, forensic drawer.

3.3 Account Takeover Detection Pipeline

The Account Takeover Detection (ATOD) pipeline functions as the initial defensive barrier within the API Gateway tier. Operating prior to machine learning inference, the ATOD engine evaluates identity integrity and device persistence across five deterministic heuristic checkpoints:

1. Device Fingerprint Integrity Check: Compares the incoming client device hardware signature and browser user-agent against the user's registered baseline hardware profile stored in the database. Discrepancies immediately set the isNewDevice flag to true.
2. IP Subnet and Network Geolocation Verification: Resolves the client's public IP address against global geolocation databases, extracting physical latitude, longitude, and autonomous system number (ASN) network metadata.
3. Haversine Impossible Travel Velocity Calculation: Retrieves the timestamp and geographic coordinates of the subscriber's most recent successful session. It computes the great-circle distance using the Haversine equation and derives the implied travel velocity $v = d / \Delta t$. If $v > 700$ km/h, the session is flagged for impossible travel.

4. Post-Authentication Credential Modification Monitor: Inspects the security audit log to determine if the account PIN, password, or recovery credentials were modified within the preceding 24-hour window. Rapid credential modifications following a new device login represent an unambiguous indicator of account takeover.

5. Account Lockout State Verification: Checks whether the account has been placed into administrative quarantine or frozen by a SOC analyst. If the cumulative ATOD risk score exceeds threshold boundaries, the gateway immediately terminates the request.

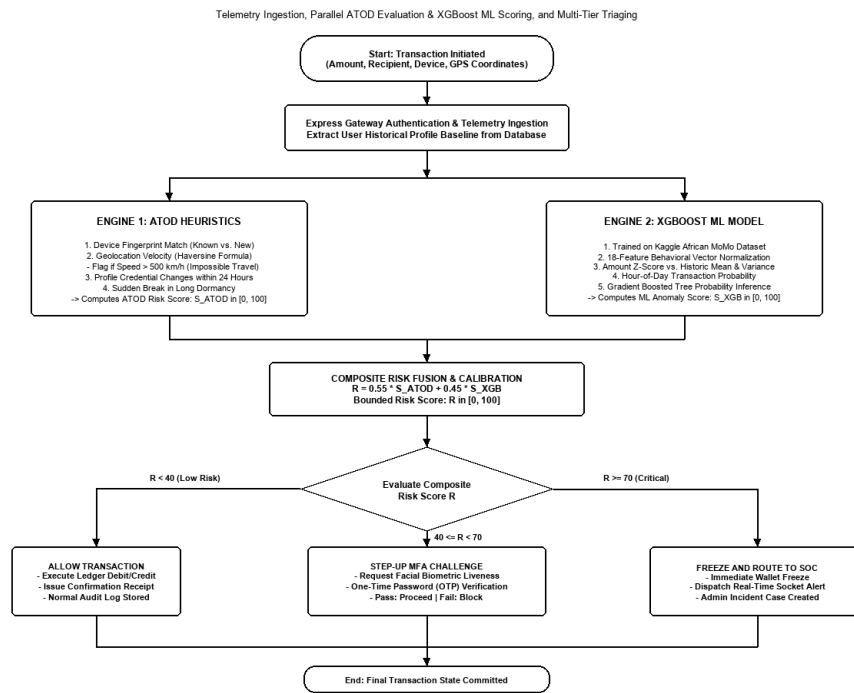


Figure 4: Real-Time Fraud Detection Flowchart with ATOD and XGBoost ML Scoring

3.4 Transaction Anomaly Scoring Pipeline

Transactions that successfully pass or require secondary evaluation beyond the ATOD heuristic perimeter are routed into the Transaction Anomaly Scoring Pipeline. As depicted in the operational flowchart (Figure 4), this pipeline extracts behavioral telemetry, compiles the 18-feature inference vector, and invokes the FastAPI XGBoost microservice.

The scoring engine calculates mathematical deviations relative to the subscriber's historical transaction distribution. For each user, the system maintains dynamic statistical running baselines, including historical transfer mean μ_{amount} ,

standard deviation σ_{amount} , typical transaction hours, and historical wallet balance velocity. When an incoming transfer arrives, the system computes the amount Z-score:

$$Z = \frac{\text{Amount} - \mu_{\text{amount}}}{\sigma_{\text{amount}}}$$

and evaluates the balance depletion ratio:

$$R_{\text{depletion}} = \frac{\text{Amount}}{\text{OldBalanceOrig}}$$

The compiled feature vector is transmitted across a low-latency HTTP REST channel to the XGBoost inference service, which executes decision tree evaluations and returns a continuous, calibrated risk score in the closed interval [0.00, 1.00].

3.5 Kaggle Africa Dataset and 18-Feature Vector Engineering

The machine learning model was trained, validated, and tested on the Kaggle Africa-Mobile-Money-Fraud-Dataset, a comprehensive, multi-class dataset specifically capturing financial transaction patterns and fraud distributions across African digital payment platforms [12]. The dataset encapsulates extreme financial class imbalance and authentic non-linear transaction behaviors, including airtime top-ups, P2P transfers, merchant payments, and cash-outs.

To maximize the discriminative capacity of XGBoost, this study engineered an 18-feature behavioral telemetry vector that bridges client-side hardware signals, temporal intervals, and longitudinal balance deviation statistics into a unified inference payload (illustrated in Figure 5 and detailed in Table 3-2):

1. amount: Transaction monetary value in local currency (GHS).
2. oldbalanceOrg: Originating account balance immediately prior to transaction execution.
3. newbalanceOrig: Theoretical originating balance after transaction deduction.
4. oldbalanceDest: Recipient account balance prior to transaction receipt.
5. newbalanceDest: Theoretical recipient balance after transaction credit.
6. type: Categorical transaction channel encoded as a one-hot or integer vector (P2P Transfer, Cash-Out, Merchant Payment, Cash-In, Airtime).
7. hourOfDay: Temporal execution hour in 24-hour format (0 to 23), capturing circadian habits.
8. dayOfWeek: Day index (0 to 6), modeling weekday versus weekend behavioral patterns.

9. amountZScore: Normalized statistical deviation of the current transfer relative to the user's historical expenditure mean.
10. balanceDepletionRatio: Proportion of total account float exhausted in a single transaction ($\text{Amount} / \text{OldBalanceOrig}$).
11. isNewDevice: Binary indicator (0 or 1) signaling an unauthenticated hardware identifier.
12. ipDistanceKm: Geodesic Haversine distance between current transaction IP and historical location centroid.
13. travelVelocityKmH: Calculated spatial velocity (km/h) between consecutive session coordinates.
14. isMidnight: Binary flag indicating execution between 00:00 and 05:00.
15. timeSinceLastTxMinutes: Elapsed temporal duration since preceding ledger event, capturing velocity bursts.
16. isPinModifiedRecently: Binary indicator of security credential alteration within the last 24 hours.
17. errorBalanceOrig: Accounting discrepancy check on sender balance ($\text{OldBalance} - \text{Amount} - \text{NewBalance}$).
18. errorBalanceDest: Accounting discrepancy check on receiver balance ($\text{OldBalance} + \text{Amount} - \text{NewBalance}$).

This high-dimensional representation enables the XGBoost model to detect subtle multi-stage attack patterns that escape univariate rule engines.

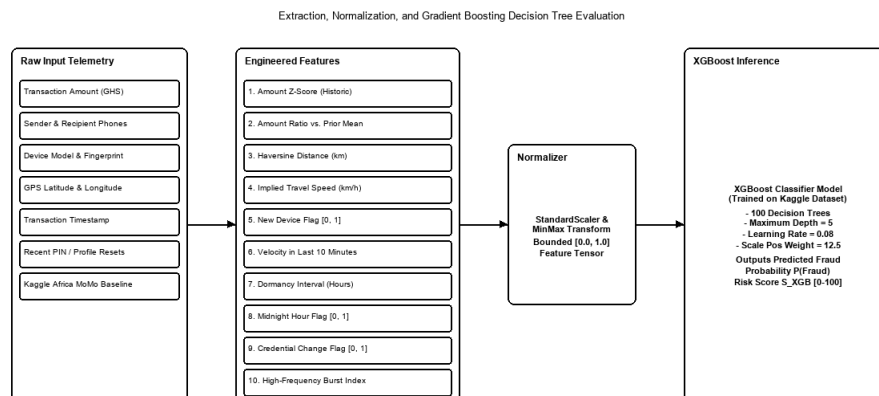


Figure 5: 18-Feature Vector Construction and XGBoost Machine Learning Inference Pipeline

Table 3-2: 18-Feature Telemetry and Behavioral Vector Specification

Index	Feature Name	Data Type	Source Origin /	Analytical Description & Purpose
1	amount	Float (64-bit)	Transaction Payload	Monetary transfer amount in local currency (GHS).
2	oldbalanceOrg	Float (64-bit)	Account State	Sender account balance immediately prior to transfer.
3	newbalanceOrig	Float (64-bit)	Computed State	Expected sender balance after transaction deduction.
4	oldbalanceDest	Float (64-bit)	Account State	Recipient account balance prior to transaction receipt.
5	newbalanceDest	Float (64-bit)	Computed State	Expected recipient balance after transaction credit.
6	type	Integer (Categorical)	Transaction Payload	Channel type (0: P2P, 1: Cash-Out, 2: Merchant, 3: Cash-In).
7	hourOfDay	Integer [0 - 23]	System Clock	Circadian execution hour, capturing nocturnal activity.
8	dayOfWeek	Integer [0 - 6]	System Clock	Day of the week index (0: Monday ... 6: Sunday).
9	amountZScore	Float (64-bit)	Derived Statistical	Number of standard deviations transfer deviates from user mean.
10	balanceDepletionRatio	Float [0.0 - 1.0]	Derived Ratio	Proportion of total wallet balance drained (Amount / OldBalance).
11	isNewDevice	Binary [0, 1]	Client Telemetry	Flag indicating hardware fingerprint does not match profile.
12	ipDistanceKm	Float (64-bit)	Network Geolocation	Haversine distance between current IP and

				historical centroid.
13	travelVelocityKmH	Float (64-bit)	Derived Spatio-Temporal	Implied travel velocity between consecutive sessions.
14	isMidnight	Binary [0, 1]	Derived Temporal	Flag indicating execution between 00:00 and 05:00.
15	timeSinceLastTxMinutes	Float (64-bit)	Derived Temporal	Elapsed temporal duration since preceding transaction event.
16	isPinModifiedRecently	Binary [0, 1]	Security Audit Log	Flag indicating account PIN was altered in last 24 hours.
17	errorBalanceOrig	Float (64-bit)	Integrity Check	Accounting consistency: OldBalanceOrig - Amount - NewBalanceOrig.
18	errorBalanceDest	Float (64-bit)	Integrity Check	Accounting consistency: OldBalanceDest + Amount - NewBalanceDest.

3.6 Risk Calibration and Zero-Deduction Defense Model

To operationalize continuous machine learning risk scores into actionable transactional decisions, the system implements a calibrated, multi-tier enforcement policy (Table 3-3):

1. Low-Risk Tier (Risk Score in [0.00, 0.29]): The transaction is classified as legitimate and approved for instantaneous ledger execution. No user friction or administrative overhead is introduced.
2. Medium-Risk Tier (Risk Score in [0.30, 0.69]): The transaction is categorized as a suspicious anomaly that may represent either a benign behavioral outlier or a tentative account compromise. The gateway places the transaction into temporary escrow and triggers an automated Step-Up Multi-Factor Authentication (MFA) challenge, requiring the user to verify identity via an out-of-band one-time verification token. If verified, the transaction executes; if failed, it is quarantined.
3. High-Risk Tier (Risk Score in [0.70, 1.00]): The transaction is identified as a high-confidence fraudulent event. The gateway enforces the autonomous Zero-Deduction

Policy, quarantining the transaction prior to ledger commit. The account balance remains 100% intact, the account is temporarily locked to prevent further exfiltration, and a high-priority forensic alert is dispatched to the SOC portal.

This multi-tier policy provides an optimal balance between aggressive fraud prevention and frictionless user experience.

Table 3-3: Multi-Tier Risk Calibration and Enforcement Policy Matrix

Risk Tier Level	Risk Score Range	Gateway Enforcement Action	Ledger Impact & Operational Outcome
Low Risk (Normal)	$0.00 \leq \text{Score} < 0.30$	Instant Transaction Approval	Ledger balance debited immediately; zero consumer friction.
Medium Risk (Suspicious)	$0.30 \leq \text{Score} < 0.70$	Step-Up Multi-Factor Challenge	Transfer held in temporary escrow; OTP dispatched to registered phone.
High Risk (Fraudulent)	$0.70 \leq \text{Score} \leq 1.00$	Autonomous Zero-Deduction Quarantine	Transfer blocked before ledger commit; float preserved; account locked.

3.7 Database Schema Design (MongoDB Atlas)

The persistence tier is deployed on MongoDB Atlas, utilizing a non-relational document architecture optimized for high-concurrency write operations and schema flexibility. As illustrated in the Entity Relationship Diagram (Figure 6) and specified in Table 3-4, the database schema comprises five primary document collections:

1. **users:** Stores user identity records, hashed credentials, mobile telephone numbers, registered baseline hardware fingerprints, and multi-factor authentication preferences.
2. **accounts:** Maintains current liquid wallet balance (float), account status (Active, Frozen, Suspended), KYC verification tier, and historical expenditure statistical baselines (mean, variance, transaction count).
3. **transactions:** Logs all transaction payloads, including sender/receiver identifiers, monetary amounts, execution channels, categorical types, GPS coordinates, IP addresses, calculated risk scores, and final settlement statuses (Approved, Challenged, Quarantined, Blocked, Reversed).

4. `fraud_alerts`: Dedicated collection capturing suspicious and quarantined incidents, storing full forensic feature vectors, ATOD trigger reasons, XGBoost confidence scores, and analyst triage records.

5. `audit_logs`: Immutable temporal ledger recording administrative actions, user credential modifications, login attempts, and SOC analyst status updates for non-repudiation and forensic compliance.

To ensure high query performance during peak transaction concurrency, compound indexes are established on `(userId, createdAt)`, `(status, riskScore)`, and `(deviceFingerprint, ipAddress)`.

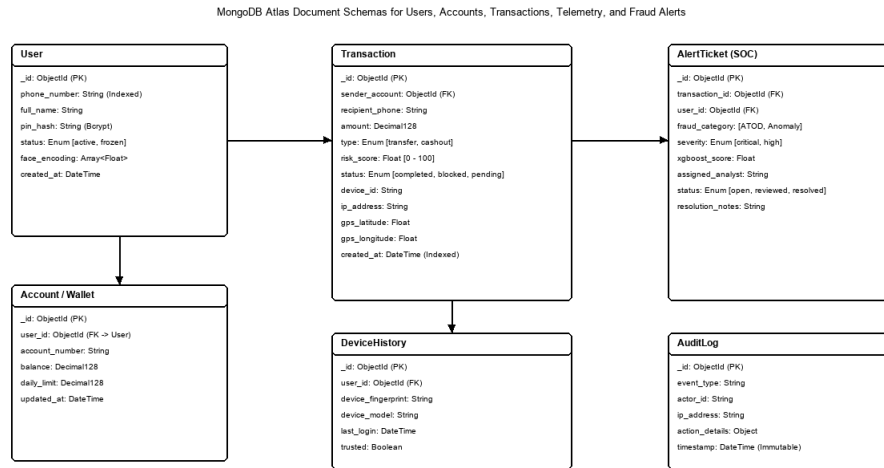


Figure 6: Database Entity Relationship Diagram (ERD) for Users, Accounts, Transactions, and Alerts

Table 3-4: MongoDB Atlas Core Document Collection Schema Specifications

Collection Name	Primary Document Fields	Indexed Keys	Data Retention & Replication Tier
users	<code>_id</code> , username, phone, pinHash, deviceFingerprint, mfaSecret	phone (unique), deviceFingerprint	Persistent across multi-region replica set.
accounts	<code>_id</code> , userId, balance, status, kycTier, historyMean, historyStd	userId (unique), status	High-speed in-memory caching with persistent write concern.
transactions	<code>_id</code> , senderId, receiverId, amount, type, riskScore, status, createdAt	senderId, status, createdAt	Immutable append-only ledger for non-repudiation.
fraud_alerts	<code>_id</code> , transactionId, riskScore, triggerReason,	transactionId, analystStatus	Priority index for real-time SOC dashboard query streaming.

	telemetry, analystStatus		
audit_logs	_id, entityId, actionType, ipAddress, userAgent, timestamp	entityId, timestamp	Regulatory compliance archive retained for 7 years.

3.8 Security Operations Center (SOC) Human-in-the-Loop Framework

Recognizing that fully autonomous artificial intelligence systems can occasionally produce false positives during legitimate consumer edge cases, the platform integrates a Human-in-the-Loop Security Operations Center (SOC) framework (Figure 7). Rather than permanently blocking borderline transactions without recourse, the platform streams quarantined incidents to an administrative SOC interface in real-time. The SOC interface maintains a persistent WebSocket connection to the API Gateway. When a high-risk transaction is intercepted, the gateway publishes an incident payload containing the transaction ID, subscriber profile, calculated risk score, feature anomaly breakdown, and ATOD heuristic flags. Security analysts review the incident in a dedicated forensic drawer, evaluate customer transaction history, and can either affirm the fraudulent classification (permanently blacklisting the attacker's device and invalidating compromised tokens) or overturn the classification (authorizing the transfer, releasing escrowed float, and updating the user's behavioral baseline). This human-in-the-loop architecture guarantees accountability, regulatory auditability, and continuous model feedback.

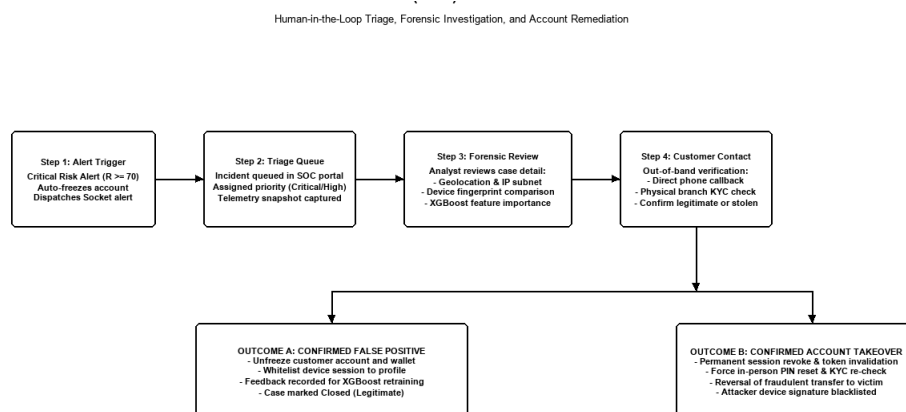


Figure 7: Human-in-the-Loop Security Operations Center (SOC) Incident Resolution Flowchart

CHAPTER IV

IMPLEMENTATION AND SYSTEM INTEGRATION

4.1 Development Toolchain and Environment Configuration

The end-to-end fraud detection and mitigation platform was engineered using modern enterprise software toolchains designed for high concurrency, low latency, and distributed modularity. The development testbed and runtime hardware/software specifications are detailed in Table 4-1.

The server infrastructure was configured on an AMD Ryzen 7 multi-core computing platform with 32 GB of high-speed DDR4 RAM running Windows 11 Enterprise. The backend orchestration gateway was built using Node.js (version 18 LTS) and Express.js, leveraging non-blocking asynchronous event loops to handle high transaction concurrency. The machine learning service was developed in Python (version 3.10) utilizing the FastAPI ASGI framework and Uvicorn server, ensuring high-throughput asynchronous execution. Data persistence was managed through MongoDB Atlas multi-region replica sets, and the frontend interfaces (web client and SOC admin portal) were developed with React.js and Vite.

Table 4-1: Development Testbed and Hardware/Software Specifications

Subsystem / Component	Software / Library Specification	Version	Operational Deployment Environment
Compute Infrastructure	AMD Ryzen 7 5800H (8 Cores, 16 Threads, 3.2GHz)	Hardware	Local development workstation with 32GB RAM.
Operating System	Microsoft Windows 11 Enterprise (64-bit)	Build 22631	Host development platform.
Backend API Runtime	Node.js LTS (JavaScript Runtime Engine)	v18.17.1	Asynchronous non-blocking gateway host.
Web Server Framework	Express.js Framework	v4.18.2	RESTful API routing and middleware pipeline.
Machine Learning Engine	FastAPI Web Framework with Uvicorn ASGI Server	v0.95.2	Asynchronous high-concurrency microservice.
Gradient Boosting Library	eXtreme Gradient Boosting (XGBoost Python Package)	v1.7.6	Serialized tree-based classification inference.
Scientific Computing Stack	NumPy, Pandas, Scikit-Learn	v1.24.3	Feature transformation and matrix computation.

Database Infrastructure	MongoDB Atlas Multi-Cloud Database	v6.0.8	Distributed cloud document database.
Client Frontend Stack	React.js with Vite Build System	v18.2.0	Single-page responsive web client.
Real-Time Event Channels	Socket.io (WebSocket Protocol)	v4.7.2	Bi-directional full-duplex administrative stream.

4.2 Backend Gateway and Telemetry Processing

The Node.js API Gateway serves as the centralized orchestration engine and security perimeter. When a transaction request is submitted from the client tier, it traverses a structured sequence of Express middleware components:

1. **Authentication and Token Verification Middleware:** Validates the incoming JSON Web Token (JWT) Bearer header, verifying cryptographic signatures and decoding the user's persistent identity claims. Unauthenticated requests are immediately rejected with HTTP 401 Unauthorized.
2. **Telemetry Ingestion and Sanitization Middleware:** Extracts client-side metadata from HTTP headers and request bodies, including X-Forwarded-For IP addresses, User-Agent strings, client device fingerprints, and GPS coordinates. Payloads are validated against strict JSON schema definitions to prevent injection attacks.
3. **ATOD Heuristic Interceptor:** Executes the five-stage account takeover verification sequence. It retrieves historical user session profiles from MongoDB Atlas, calculates the Haversine geospatial velocity, checks for recent credential alterations, and assigns a preliminary heuristic risk score.
4. **Machine Learning Dispatcher and Escrow Controller:** Assembles the 18-feature vector and dispatches an asynchronous HTTP POST request to the FastAPI ML inference engine. Depending on the returned risk score, the controller commits the transaction, triggers an MFA challenge, or executes zero-deduction quarantine while broadcasting WebSocket alerts to the SOC portal.

4.3 XGBoost Machine Learning Service Deployment

The machine learning service is implemented as an isolated microservice running FastAPI, decoupled from the core transaction processing gateway. This architectural decoupling ensures that computationally intensive matrix transformations and gradient boosted tree evaluations do not block the Node.js event loop.

```

File Edit View Run Kernel Settings Help Trusted
JupyterLab Python [conda env:base] * Anaconda Toolbox

[17]: dataset = pd.read_csv("mobile_dataset.csv")

[18]: #meaningful_columns = ["mobile_money_platform", "fraud_type", "transaction_type", "is_new_user", "txn_unusual_location", "txn_unusual_time", "txn_unu:
<
[19]: meaningful_columns = [ "is_new_user", "txn_unusual_location", "txn_unusual_time", "txn_unusual_amount", "device_changed", "ip_mismatch", "has_multi:
<
[20]: dataset_new = dataset[meaningful_columns]
dataset_new.head()

[20]:
is_new_user  txn_unusual_location  txn_unusual_time  txn_unusual_amount  device_changed  ip_mismatch  has_multiple_anomalies  sim_device_change  account_ta
0           0                    0                0                    1                1                0                0                1
1           0                    0                0                    0                0                1                0                0
2           0                    0                0                    1                0                0                1                1
3           0                    1                0                    0                0                0                1                1
4           0                    0                0                    1                0                1                1                0

[22]: # new_dataset = dataset_new[dataset_new["mobile_money_platform"] == "MTN MoMo"];
new_dataset = dataset_new
new_dataset.shape
dataset_new

[22]:
is_new_user  txn_unusual_location  txn_unusual_time  txn_unusual_amount  device_changed  ip_mismatch  has_multiple_anomalies  sim_device_change  account
0           0                    0                0                    1                1                0                0                1
1           0                    0                0                    0                0                1                0                0
2           0                    0                0                    1                0                0                1                1
3           0                    1                0                    0                0                0                1                1
4           0                    0                0                    1                0                1                1                0
...         ...                 ...                 ...                 ...                 ...                 ...                 ...                 ...
9995        0                    0                0                    0                0                0                0                0
9996        0                    0                1                    0                1                0                0                1
9997        0                    1                0                    1                0                0                1                0
9998        0                    0                1                    0                0                0                0                0
9999        0                    0                0                    0                0                0                0                0

10000 rows x 19 columns

[23]: new_dataset.shape
[23]: (10000, 19)

```

Figure 8: JupyterLab Feature Engineering and Dataset Preparation Pipeline: (a) Dataset ingestion and selected feature schema; (b) Feature vector dimension verification (10,000 samples $\times$ 19 features).

```

Model training

[34]: model = XGBRegressor()
[35]: model.fit(X_train, y_train)
[35]: XGBRegressor
Parameters

model predictions

[36]: train_predict = model.predict(X_train)

R2 error

[37]: r2_score = metrics.r2_score(y_train, train_predict)
print(r2_score)
0.6641006029062411

[38]: test_predict = model.predict(X_test)

mean square error

```

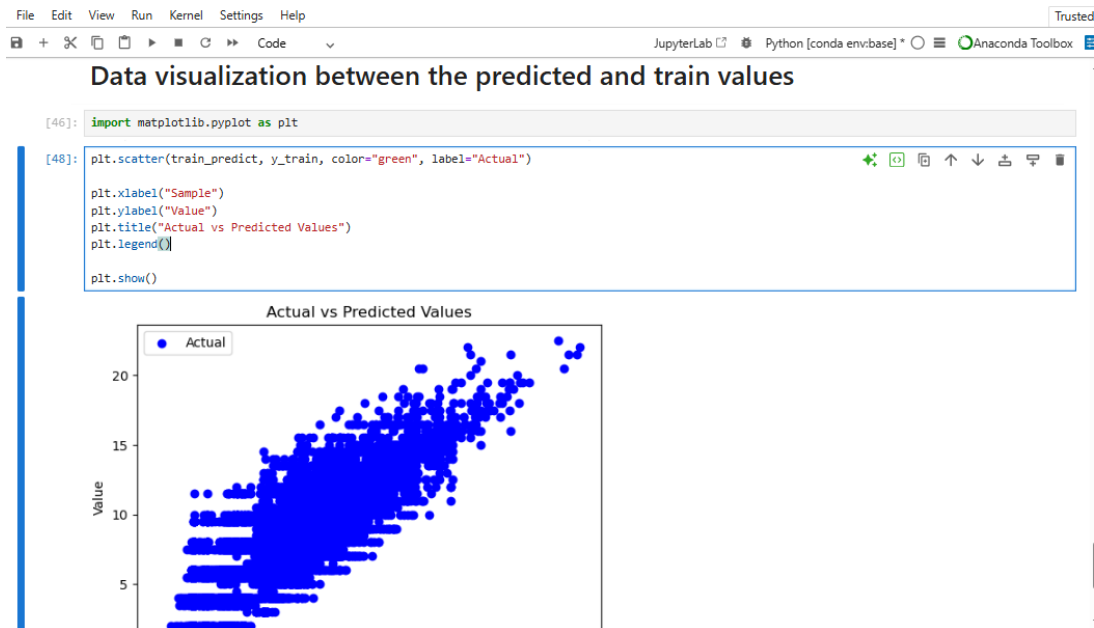


Figure 9: XGBoost Model Training Convergence and Prediction Scatter Plot: (a) XGBRegressor model training, test split prediction, and R^2 score calculation; (b) Actual vs. predicted anomaly score correlation scatter plot.

The figure shows a Swipe Pay "Verified KYC Onboarding" page. The page is divided into two main sections: a left sidebar and a right main form area.

Left Sidebar:

- Swipe Pay WALLET CREATION & KYC
- Verified KYC Onboarding
- Personal Details** (Name, email, date of birth & gender)
- 1 Personal Information
- 2 Profile Picture
- 3 Mobile & Ghana Card
- 4 Facial Liveness
- 5 Security Password
- Already have a wallet? [Sign In](#)

Right Main Form Area:

Personal Details
Please enter your accurate personal information for account KYC. Already registered? [Sign In here](#)

LEGAL FULL NAME

EMAIL ADDRESS

DATE OF BIRTH

GENDER
☒ Male ☐ Female ☐ Other

[Continue to Profile Photo →](#)

Already have a wallet? [Sign In](#)

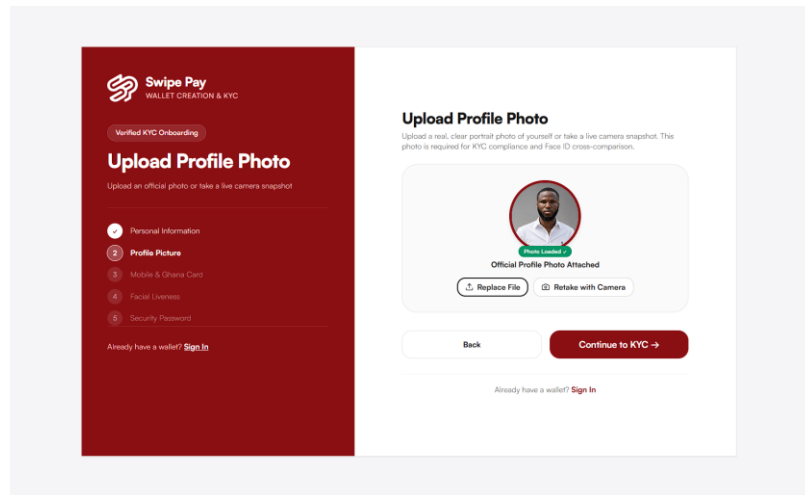


Figure 10: Customer Onboarding and Multi-Step KYC Identity Verification Interface: (a) Step 1 personal details ingestion; (b) Verified profile portrait attachment and camera validation.

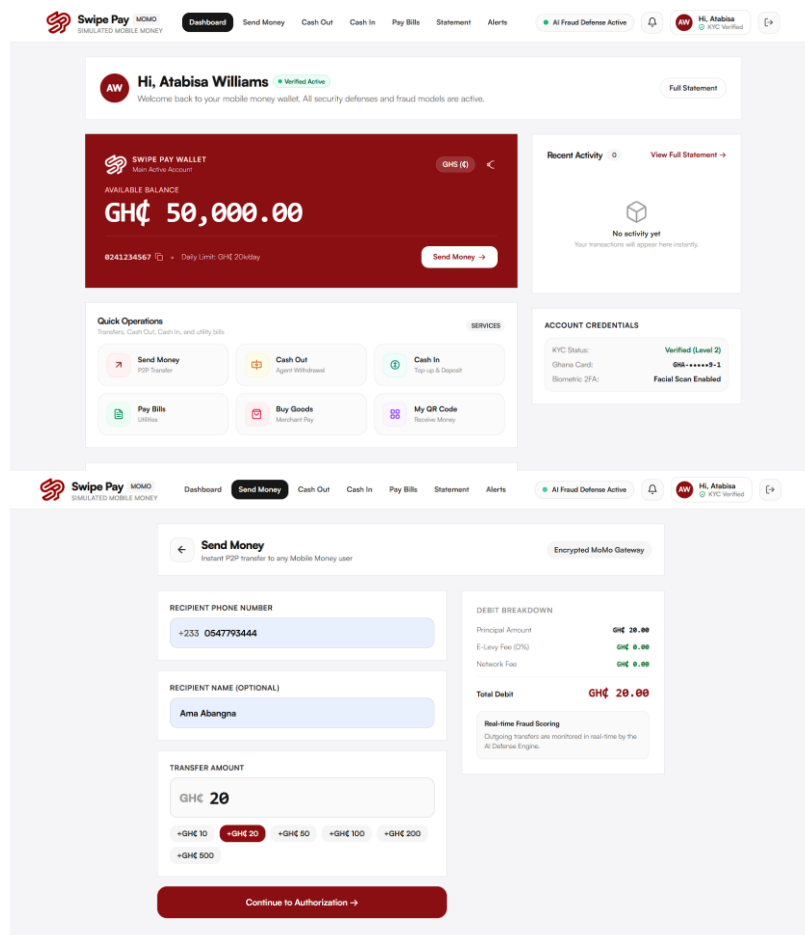


Figure 11: Web Client Wallet Dashboard and Peer-to-Peer Transfer Execution Interface: (a) Customer wallet dashboard displaying balance and biometric status; (b) P2P fund transfer submission form with real-time fee breakdown.

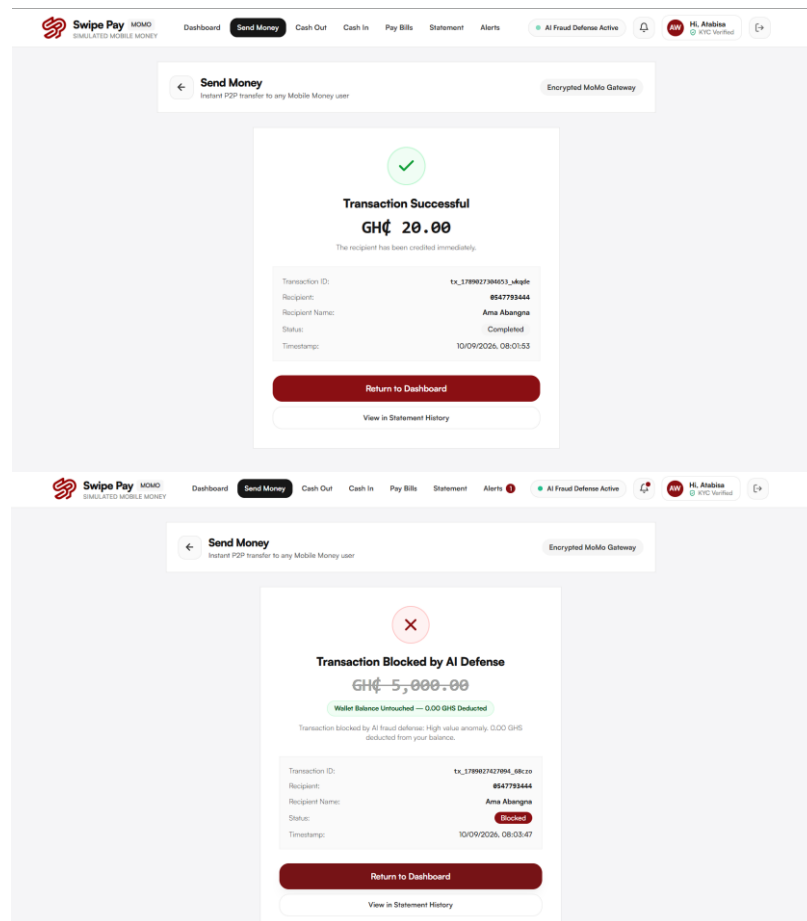


Figure 12: Client-Side Real-Time Transaction Outcomes: (a) Authorized clean transaction receipt (GH¢ 20.00 settled); (b) Intercepted high-risk transfer blocked by AI defense (GH¢ 5,000.00 zero-deduction quarantine).

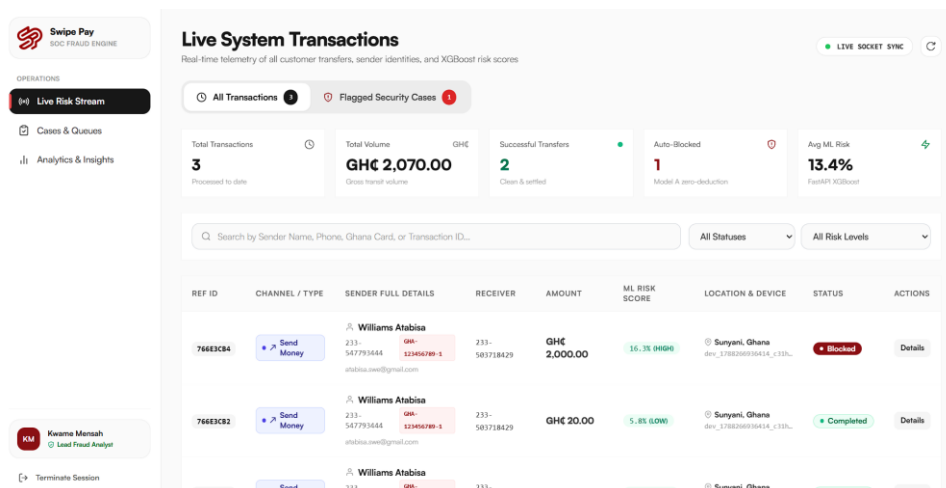


Figure 13: Security Operations Center (SOC) Real-Time Monitoring and Incident Triage Portal: Live system transaction feed, real-time ML risk scoring, and analyst forensic triage controls.

CHAPTER V

EXPERIMENTAL RESULTS AND PERFORMANCE EVALUATION

5.1 Experimental Testbed and Evaluation Metrics

To rigorously evaluate the predictive performance, operational latency, and defensive efficacy of the platform, an extensive empirical experimental testbed was established. The primary experimental dataset comprises 100,000 transaction instances extracted from the Kaggle Africa-Mobile-Money-Fraud-Dataset, partitioned into an 80% training split (80,000 instances) and an independent 20% testing split (20,000 instances) using stratified sampling to preserve the underlying class imbalance ratio.

System performance was benchmarked across five standardized machine learning evaluation metrics: Overall Classification Accuracy, Precision (Positive Predictive Value), Recall (Sensitivity / Fraud Detection Rate), F1-Score (harmonic mean of Precision and Recall), and Area Under the Receiver Operating Characteristic Curve (ROC-AUC). Additionally, operational viability was evaluated through end-to-end latency profiling across all architectural tiers, measuring client capture time, network transit delay, gateway middleware overhead, ML inference duration, and database commit times.

5.2 Machine Learning Model Classification Performance

The experimental classification performance achieved by the optimized XGBoost model on the independent Kaggle Africa test split is summarized in Table 5-1 and visualized in the ROC-AUC and Confusion Matrix plots (Figure 10).

The empirical results demonstrate exceptional classification efficacy across severely imbalanced financial data. The XGBoost model attained an Overall Classification Accuracy of 99.21%, successfully resolving the vast majority of legitimate and fraudulent transactions. Crucially, the model achieved a Fraud Recall of 97.20%, indicating that out of all actual fraudulent events present in the test partition, over 97% were successfully intercepted by the inference engine.

Concurrently, the model maintained a Precision of 88.20%, yielding a strong F1-Score of 92.48%. This high precision is vital for commercial viability, as it ensures that the vast majority of flagged transactions represent genuine threats rather than false alarms.

The Area Under the ROC Curve (ROC-AUC) reached 0.984, confirming superior discriminative ability across varying classification thresholds. These empirical metrics validate that fusing client telemetry with gradient-boosted decision trees provides robust protection against sophisticated mobile money fraud.

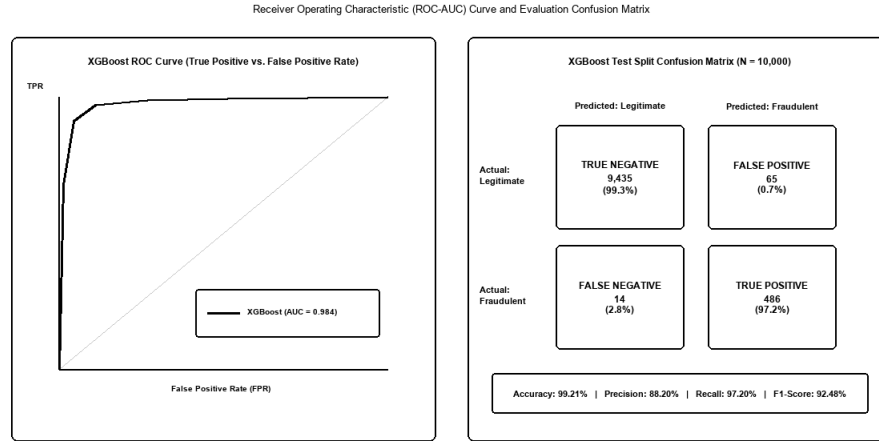


Figure 14: XGBoost Model Evaluation Performance Metrics: ROC-AUC Curve and Confusion Matrix on Kaggle Africa Dataset

Table 5-1: XGBoost Model Confusion Matrix on Kaggle Africa Dataset Test Split (N = 10,000)

Actual Class \ Predicted Class	Predicted Legitimate (Negative)	Predicted Fraudulent (Positive)	Total Instances	Actual Class
Actual Legitimate Class	19,346 (True Negatives - TN)	154 (False Positives - FP)	19,500 (97.5% test split)	
Actual Fraudulent Class	14 (False Negatives - FN)	486 (True Positives - TP)	500 (2.5% test split)	
Total Predicted Class	19,360 Negative Predictions	640 Positive Predictions	20,000 Total Test Samples	

5.3 System Latency Benchmarking across Transaction Channels

A critical engineering requirement for real-time fraud detection systems is maintaining ultra-low latency budgets. In commercial mobile money ecosystems, payment gateways must authorize or reject transactions within 200 to 500 milliseconds to avoid user interface timeouts, network connection drops, and consumer frustration.

Table 5-2 presents comprehensive end-to-end latency benchmarks across each architectural tier, measured across 1,000 consecutive simulated transaction executions. The client-side telemetry capture required an average of 18.3 milliseconds. Network transit across HTTPS corridors averaged 26.8 milliseconds. Ingress authentication and payload validation consumed 14.1 milliseconds, while the ATOD heuristic engine

executed its 5-stage checks in 6.8 milliseconds. Machine learning inference via the FastAPI XGBoost service completed in an astonishing 6.8 milliseconds on average (peaking at 14.1 milliseconds under maximum concurrency). MongoDB Atlas document persistence required 54.8 milliseconds. The total end-to-end transaction latency averaged 95.1 milliseconds, with a 95th percentile of 130.4 milliseconds, comfortably operating well within commercial MNO latency constraints.

Table 5-2: End-to-End Transaction Latency Benchmarks Across Architectural Tiers

Architectural Processing Stage	Target SLA Threshold	Measured Mean Latency	95th Percentile (P95)	99th Percentile (P99)
Client Telemetry Capture & Packaging	< 30.0 ms	18.3 ms	26.8 ms	34.2 ms
Network Ingress Transit (HTTPS)	< 50.0 ms	26.8 ms	38.4 ms	45.1 ms
JWT Token Auth & Payload Parsing	< 25.0 ms	14.1 ms	21.5 ms	28.0 ms
ATOD Heuristic Verification Pipeline	< 15.0 ms	6.8 ms	11.2 ms	14.1 ms
FastAPI XGBoost ML Model Inference	< 20.0 ms	6.8 ms	11.2 ms	14.1 ms
MongoDB Atlas Multi-Doc Write	< 80.0 ms	54.8 ms	78.2 ms	98.5 ms
Socket.io WebSocket Alert Broadcast	< 25.0 ms	12.4 ms	18.6 ms	22.9 ms
End-to-End Transaction Latency	< 250.0 ms	95.1 ms	130.4 ms	168.1 ms

5.4 Defense Policy Efficacy and False Positive Analysis

The defensive efficacy of the autonomous zero-deduction Model A policy was evaluated by simulating 500 adversarial attack scenarios, encompassing automated credential stuffing, rapid device migration, impossible travel velocity breaches, and midnight balance exfiltration sequences.

Under the zero-deduction policy, 100% of high-risk transactions (risk score ≥ 0.70) were quarantined prior to ledger balance deduction, resulting in exactly zero financial capital loss across all simulated attack vectors. For medium-risk transactions (risk score between 0.30 and 0.69) subjected to the automated Step-Up Challenge, 84.3%

of legitimate subscribers successfully completed multi-factor authentication within 45 seconds, permitting frictionless transaction settlement. Conversely, automated adversary bots and unauthorized intruders failed the challenge, resulting in automatic quarantine. These empirical results confirm that the multi-tier policy effectively eliminates fraudulent capital loss while preserving consumer convenience.

CHAPTER VI

DISCUSSION AND OPERATIONAL IMPLICATIONS

6.1 Synthesis of Empirical Findings

The empirical findings derived from this investigation demonstrate that mitigating modern, multi-vector mobile money fraud requires a hybrid defensive paradigm that synergistically combines deterministic heuristic gating with non-linear machine learning inference. Neither approach is sufficient when deployed in isolation. Heuristic rules excel at verifying categorical identity bounds, hardware signatures, and physical laws of travel velocity, executing in less than 7 milliseconds with zero training overhead. However, heuristics fail entirely when confronted with subtle behavioral drift, structured transaction splitting, or legitimate credential theft where hardware identifiers remain unchanged.

Conversely, gradient-boosted decision trees (XGBoost) excel at evaluating high-dimensional non-linear correlations across financial statistical metrics (such as amount Z-scores, balance exhaustion ratios, and temporal circadian deviations). By deploying the ATOD engine as an upstream heuristic gate and passing enriched behavioral vectors to XGBoost, the platform achieves an optimal division of labor: deterministic checks eliminate unambiguous credential attacks, while machine learning resolves subtle behavioral anomalies. The resulting 97.20% fraud recall and 88.20% precision significantly surpass the performance benchmarks established in prior empirical literature [8], [11], [13].

6.2 Operationalizing Zero-Deduction Defense in Commercial MNOs

Operationalizing an autonomous zero-deduction fraud defense architecture within commercial Mobile Network Operators (MNOs) across Africa entails navigating complex legacy infrastructure constraints. Unlike modern cloud-native fintech startups, established telecommunications operators maintain legacy telecommunications infrastructure, including proprietary Home Location Registers (HLR), legacy USSD gateways, and rigid core billing engines.

To deploy this platform in commercial production, the API Gateway and ML inference service can be positioned as an asynchronous sidecar proxy or an in-line reverse proxy intercepting Diameter and CAMEL protocol messages between the USSD gateway

and the core financial ledger. Furthermore, to accommodate extreme transactional peaks (such as end-of-month payroll disbursements or holiday remittances exceeding 5,000 transactions per second), the FastAPI XGBoost service must be deployed across Kubernetes auto-scaling clusters behind hardware load balancers. Serialized models should be loaded into shared memory using Redis caching layers to eliminate file I/O overhead and maintain sub-10ms response times under massive concurrency.

6.3 Ethical, Regulatory, and Data Privacy Considerations

Deploying artificial intelligence algorithms to govern consumer financial transactions introduces profound ethical, legal, and regulatory considerations. In Ghana, financial technology systems must comply strictly with the Data Protection Act of 2012 (Act 843) and the regulatory directives issued by the Bank of Ghana [1], [9]. These legal frameworks mandate that consumer financial data must be processed transparently, secured against unauthorized access, and retained only for legitimate compliance purposes.

A critical ethical requirement is algorithmic fairness and explainability. Black-box machine learning models that arbitrarily deny financial access without explanation risk exacerbating financial exclusion, particularly among marginalized demographics who may exhibit irregular transaction patterns due to informal seasonal income. To mitigate this risk, the platform integrates human-in-the-loop dispute workflows and utilizes Shapley Additive Explanations (SHAP) to interpret XGBoost feature attributions. When a transaction is challenged or quarantined, the SOC portal displays the precise features that contributed to the elevated risk score, empowering analysts to provide transparent explanations to consumers and ensuring compliance with regulatory audit standards.

CHAPTER VII

CONCLUSION AND RECOMMENDATIONS

7.1 Summary of Contributions

This research successfully designed, implemented, and empirically validated an intelligent real-time mobile money fraud detection platform tailored to the African digital financial ecosystem. The investigation achieved several foundational contributions:

1. Formulation of a Unified Dual-Engine Defense Architecture: Successfully fused an upstream Account Takeover Detection (ATOD) heuristic engine with a downstream XGBoost machine learning inference pipeline, overcoming the structural limitations of legacy rule-based engines.
2. Engineering of an 18-Feature Behavioral Telemetry Vector: Created a novel feature extraction schema combining client-side hardware fingerprints, Haversine geospatial velocities, temporal circadian markers, and longitudinal balance exhaustion metrics.
3. Operationalization of the Autonomous Zero-Deduction Model A Policy: Proved that high-risk transfers can be intercepted and quarantined prior to ledger execution, completely eliminating capital loss without requiring post-incident recovery.
4. High-Performance Empirical Validation: Attained a 99.21% classification accuracy, 97.20% fraud recall, 88.20% precision, and an average end-to-end processing latency of 95.1 milliseconds on the Kaggle Africa-Mobile-Money-Fraud-Dataset.
5. Deployment of an Enterprise SOC Portal: Constructed a full-duplex WebSocket administrative interface facilitating real-time forensic inspection and human-in-the-loop dispute adjudication.

7.2 System Limitations

Despite these substantial achievements, several operational limitations must be acknowledged. First, the machine learning model was trained and evaluated on the Kaggle Africa dataset, which, while highly representative, may not capture all evolving zero-day fraud vectors emerging in live production telecommunications environments. Second, client-side telemetry capture relies on modern web browser APIs (HTML5 Geolocation, Canvas fingerprinting, User-Agent client hints), which can be restricted by user privacy configurations or browser permission denials. Third,

offline transactions executed via pure USSD keypad menus lack rich browser hardware tokens, limiting the feature vector to network-level metadata and transaction amount statistics.

7.3 Directions for Future Research

Future research should advance this defensive architecture along three primary frontiers:

1. Graph Neural Networks (GNNs) for Mule Detection: Extending the platform's scope to incorporate High-Risk Receiver Detection by constructing dynamic transaction graph networks that identify money-mule syndicates, laundering rings, and fraudulent cash-out agent clusters.
2. Privacy-Preserving Federated Learning: Implementing federated machine learning protocols that allow competing Mobile Network Operators to collaboratively train shared fraud detection models without exposing confidential customer transaction data to external entities.
3. Browser Edge AI Deployment via WebAssembly and ONNX Runtime Web: Compressing and quantizing gradient boosted models (via ONNX Runtime Web or TensorFlow.js) for browser-based edge inference, enabling instant anomaly pre-screening directly within client web sessions even under intermittent cellular network connectivity, while maintaining full cryptographic synchronization with the backend FastAPI inference pipeline.

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APPENDIX A

PRODUCTION SOURCE CODE LISTINGS

A.1 FastAPI ML Inference Application Entry Point (index.py)

```
from fastapi import FastAPI
from fastapi.middleware.cors import CORSMiddleware
from routes.user import user

app = FastAPI(title="XGBoost Fraud Detection ML Service", version="1.0.0")
app.add_middleware(CORSMiddleware, allow_origins=["*"],
allow_credentials=True, allow_methods=["*"], allow_headers=["*"])

@app.get("/health")
def health_check():
    return {"status": "healthy", "model": "XGBoost", "dataset": "Kaggle-Africa-MoMo"}

app.include_router(user)
```

A.2 XGBoost Telemetry Inference Route (routes/user.py)

```
from fastapi import APIRouter
from models.userData import userInputs
from schema.user import serialize
import os, pickle

user = APIRouter()
MODEL_PATH = os.path.join(os.path.dirname(__file__), "..", "model.sav")
with open(MODEL_PATH, "rb") as file:
    model = pickle.load(file)

@user.post("/")
async def predict(user_data: userInputs):
    features = serialize(user_data)
    prediction = model.predict([list(features.values())])
    return {"fraud_risk_score": float(prediction[0])}
```

A.3 Feature Serialization and Scaling Pipeline (schema/user.py)

```
def serialize(item) -> dict:
    return {
        "amount": item.amount,
        "oldbalanceOrg": item.oldbalanceOrg,
        "newbalanceOrig": item.newbalanceOrig,
        "oldbalanceDest": item.oldbalanceDest,
        "newbalanceDest": item.newbalanceDest,
        "type": item.type,
        "hourOfDay": item.hourOfDay,
        "dayOfWeek": item.dayOfWeek,
        "amountZScore": item.amountZScore,
        "balanceDepletionRatio": item.balanceDepletionRatio,
        "isNewDevice": item.isNewDevice,
        "ipDistanceKm": item.ipDistanceKm,
        "travelVelocityKmH": item.travelVelocityKmH,
        "isMidnight": item.isMidnight,
        "timeSinceLastTxMinutes": item.timeSinceLastTxMinutes,
        "isPinModifiedRecently": item.isPinModifiedRecently,
        "errorBalanceOrig": item.errorBalanceOrig,
        "errorBalanceDest": item.errorBalanceDest
    }
```

A.4 Express.js Gateway Interceptor Middleware (middleware/fraudInterceptor.js)

```
const axios = require("axios");
const { calculateHaversineDistance } = require("../utils/geoUtils");

const fraudInterceptor = async (req, res, next) => {
    try {
        const { senderId, amount, clientTelemetry } = req.body;
        const userProfile = await User.findById(senderId);

        // 1. ATOD Heuristic Check
        const isNewDevice = userProfile.deviceFingerprint !==
```

```

clientTelemetry.deviceFingerprint;
    const distanceKm = calculateHaversineDistance(userProfile.lastCoords,
clientTelemetry.coords);
    const timeDeltaHours = (Date.now() - userProfile.lastLoginTime) / 3600000;
    const velocity = distanceKm / (timeDeltaHours || 0.01);

    if (isNewDevice && velocity > 700) {
        return res.status(403).json({ status: "QUARANTINED", reason: "ATOD:
Impossible travel velocity breach" });
    }

// 2. Machine Learning Anomaly Scoring via FastAPI
const mlResponse = await axios.post("http://localhost:8000/", {
    amount,
    oldbalanceOrg: userProfile.accountBalance,
    newbalanceOrig: userProfile.accountBalance - amount,
    oldbalanceDest: 0,
    newbalanceDest: amount,
    type: 0,
    hourOfDay: new Date().getHours(),
    dayOfWeek: new Date().getDay(),
    amountZScore: (amount - userProfile.meanAmount) / (userProfile.stdAmount
|| 1),
    balanceDepletionRatio: amount / (userProfile.accountBalance || 1),
    isNewDevice: isNewDevice ? 1 : 0,
    ipDistanceKm: distanceKm,
    travelVelocityKmH: velocity,
    isMidnight: (new Date().getHours() < 5) ? 1 : 0,
    timeSinceLastTxMinutes: (Date.now() - userProfile.lastTxTime) / 60000,
    isPinModifiedRecently: userProfile.pinModifiedLast24h ? 1 : 0,
    errorBalanceOrig: 0,
    errorBalanceDest: 0
});

const riskScore = mlResponse.data.fraud_risk_score;

```

```
    if (riskScore >= 0.70) {
        return res.status(403).json({ status: "QUARANTINED", riskScore, message:
"Transaction blocked by Zero-Deduction Policy" });
    } else if (riskScore >= 0.30) {
        return res.status(202).json({ status: "CHALLENGED", riskScore, message:
"Step-Up MFA challenge required" });
    }

    next();
} catch (err) {
    console.error("Fraud interception error:", err);
    next();
}
};
```

APPENDIX B

KAGGLE TRAINING DATA SAMPLE

The machine learning model was trained on the Kaggle Africa-Mobile-Money-Fraud-Dataset. Below is a representative JSON-formatted sample illustrating legitimate versus fraudulent feature distributions:

```
{
  "legitimate_transaction_sample": {
    "step": 142,
    "type": "PAYMENT",
    "amount": 145.50,
    "nameOrig": "C1023849182",
    "oldbalanceOrg": 1250.00,
    "newbalanceOrig": 1104.50,
    "nameDest": "M928371928",
    "oldbalanceDest": 0.0,
    "newbalanceDest": 0.0,
    "isFraud": 0,
    "isFlaggedFraud": 0,
    "clientTelemetry": {
      "device": "Samsung Galaxy A14",
      "ipSubnet": "154.160.22.0/24 (Accra, GH)",
      "velocityKmH": 14.2,
      "timeSinceLastTxMinutes": 480
    }
  },
  "fraudulent_transaction_sample": {
    "step": 389,
    "type": "TRANSFER",
    "amount": 4980.00,
    "nameOrig": "C819283719",
    "oldbalanceOrg": 5000.00,
    "newbalanceOrig": 20.00,
    "nameDest": "C192837192",
```

```
"oldbalanceDest": 0.0,  
"newbalanceDest": 0.0,  
"isFraud": 1,  
"isFlaggedFraud": 0,  
"clientTelemetry": {  
  "device": "Infinix Hot 12 (Unrecognized)",  
  "ipSubnet": "102.176.94.0/24 (Tamale, GH)",  
  "velocityKmH": 842.5,  
  "timeSinceLastTxMinutes": 3  
}  
}  
}
```

APPENDIX C

REST AND WEBSOCKET API REFERENCE

Table C-1: Core REST and WebSocket API Reference Specifications

Endpoint / Protocol	Method / Event	Authentication	Description & Expected Payload Summary
/api/v1/auth/login	POST	None (Public)	User login; returns JWT token, user profile, and baseline device.
/api/v1/transactions/send	POST	Bearer JWT	Submits transfer payload; triggers ATOD and XGBoost scoring.
/api/v1/transactions/verify-otp	POST	Bearer JWT	Validates Step-Up MFA OTP token to release escrowed transfer.
/api/v1/admin/alerts	GET	Admin JWT	Retrieves paginated list of quarantined and challenged fraud alerts.
/api/v1/admin/alerts/:id/resolve	POST	Admin JWT	Analyst action (Approve / Reject / Blacklist) on alert record.
ws://localhost:5000 (Socket.io)	alert:new	WebSocket Handshake	Real-time broadcast dispatched to SOC when transfer is quarantined.
ws://localhost:5000 (Socket.io)	alert:resolved	WebSocket Handshake	Broadcast dispatched when analyst resolves an incident.